First Edition:

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PREFACE

Indirect taxes are the taxes levied on goods and services on the basis of production, sale or purchase of goods or provision of services, in the form of import and export duty, excise, sales tax, Value Added Tax (VAT), service tax, entertainment tax, electricity duty, tax on passenger fares and freights etc. They are called indirect taxes as the burden on tax is passed on to the consumer unlike direct taxes which are supposed to be borne by the persons on whom these taxes are levied

"Indirect Tax covers all the concept of forward charge mechanism, reverse charge mechanism, composite supply, mixed supply and various exemptions under the new Goods and Service tax regime. Compliance related to documentation under the new indirect tax regime persons liable for registration and the persons not required to obtain registration under the GST law..."

This book is focused on understands the difference between forward charge and reverse charge mechanism and also to understand the difference between composite and mixed supply. Format for various documents like tax invoice, bill of supply, debit note, credit note etc. and compute the amount of CGST, SGST and IGST payable after considering the eligible input tax credit.

The content development team of GJ has put in tremendous effort in bringing out this publication and the team looks forward to your valuable suggestions and recommendations for the improvement of this book.

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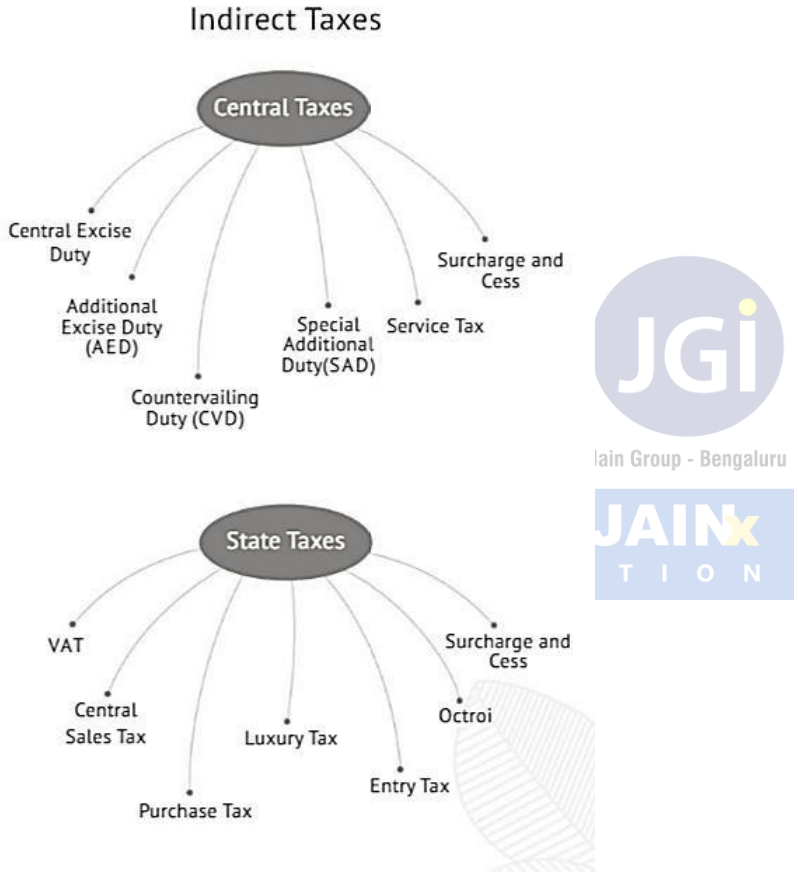
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Introduction

India is a federal country where both the Centre and the states have the powers to levy and collect taxes through appropriate legislations. They have distinct responsibilities to perform according to the powers prescribed by the constitution. Accordingly,

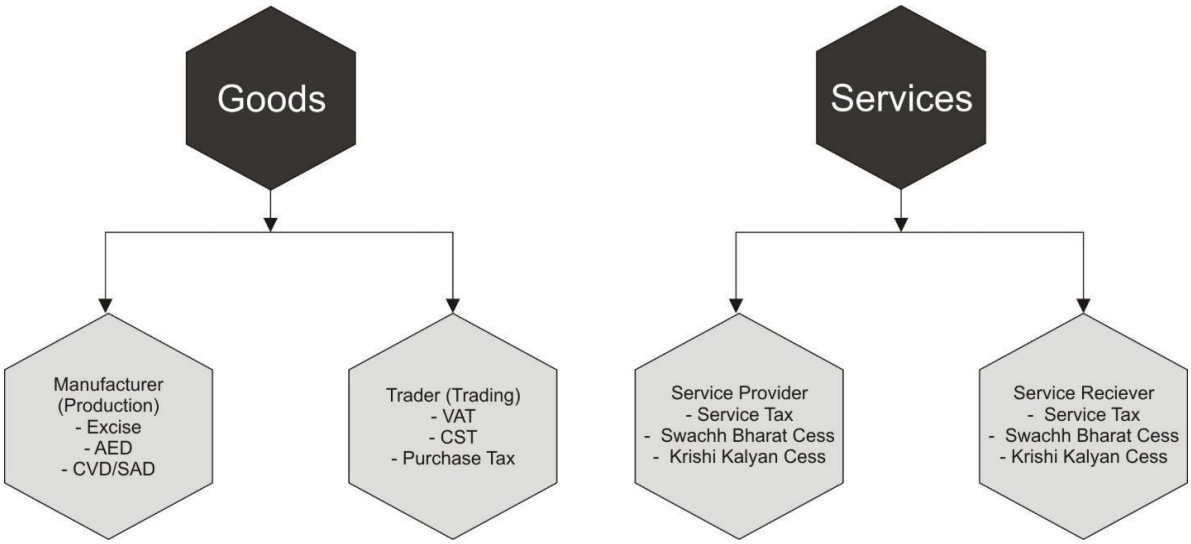
- The Centre can levy tax on the manufacture of goods and rendering of services.
- The state can levy tax on the sale of goods.

1.1 Indirect Tax System before GST



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Applicability of Taxes



1.1.1 Central Taxes

Tax	Levied on
Central Excise Duty	Manufacture of goods in India
Additional Excise Duty (AED)	Manufacture of specific goods in the schedule specified by the Central Excise Tariff Act (CETA) in addition to Excise Duty
Special Additional Duty (SAD)	Import of goods in addition to Customs Duty
Countervailing Duty (CVD)	Import of goods
Service Tax	Taxable services rendered
Swachh Bharat Cess	Taxable services rendered, in addition to service tax
Krishi Kalyan Cess	Taxable services rendered, in addition to service tax

1.1.2 State Taxes

Tax	Levied on
Value Added Tax (VAT)	Sale of goods within the state
Additional Excise Duty (AED)	Interstate sales
Purchase Tax	Purchases from Unregistered Dealers, to be paid by the buyer

1.2. JOURNEY OF GST

Introduction of the CENVAT and Value Added Tax (VAT) at the central and the state level had been considered to be a major step – an important breakthrough – in indirect tax reforms in India. If CENVAT and VAT were major improvements over the Central Excise Duty at the national level and the Sales Tax system at the state level, Goods and Services Tax (GST) marks

a significant progress – the next logical step – towards a complete indirect tax reform in the country.

The journey of GST started in the year 2003. Since then it has crossed many political and administrative hurdles. Today, India has joined the GST club as the 166th country to implement GST.

Let us take a look at some of the key milestones in the GST journey:

Date	Levied on
14th June 2016	Draft Model GST Law was announced in the public domain
3rd Aug 2016	Rajya Sabha passed the GST bill
8th Aug 2016	Lok Sabha passed the GST bill
8th Sept 2016	Got the President's approval to 122nd Constitutional Amendment Bill on GST
12th Sept 2016	Got the Cabinet's approval to form GST Council
16th Sept 2016	Notification of 101 constitutional Act 2016
4th Nov 2016	GST Rates were finalized by GST Council
26th Nov 2016	Revised Draft Model GST Law was announced in the public domain
29th March 2017	CGST Bill, IGST bill, UTGST, and GST compensation bill were passed in Lok Sabha
2nd April 2017	Revised rules were made available on various provisions of law
6th April 2017	CGST Bill, IGST bill, UTGST, and GST compensation bill were passed in Rajya Sabha
13th April 2017	Got president's approval on all four the Goods and Services Tax Bills
18th May 2017	GST Council Meet on GST Rate Schedule
18th June 2017	Finalizations of GST rules

1.3. WHY GST?

The indirect taxation system had inefficiencies and limitations due to:

- Multiple taxes (Central levies like Excise Duty, Service Tax, and other Cess, state levies like VAT, Entry Taxes, Octroi, Luxury Tax, Entertainment Tax, Purchase tax)
- Multiple tax rates
- Multiple points of taxation (during manufacture, trader, rendering services, and so on)

In 2005, VAT was introduced to overcome the cascading effect (tax-on-tax) of sales tax. By setting-off the tax paid on purchases with the tax collected, the cascading effect was to be eliminated. CENVAT, similarly, was an enhanced system of Central Excise with provisions to set-off duties.

However, both CENVAT and VAT had their own limitations and couldn't eliminate the cascading effect of tax completely. When Excise Duty is charged by a manufacturer to a dealer,

the dealer can't claim input tax credit. Similarly, input tax credit can't be availed on the Central Sales Tax (CST) charged on interstate purchases. Often, this led to taxes being a part of the product cost.

GST allows seamless flow of tax credit, and eliminates the cascading effect of all the indirect taxes in the supply chain - from manufacturers to retailers, and across state borders.

Here are some reasons to explain why:

a. Simple Tax Structure: GST replaces a number of indirect taxes. Further, uniformity in tax rates, and structure of taxation makes GST simpler to understand and easy to administer.

b. Eliminates cascading effect of taxes: The input credit set-off process is seamless, and the benefit is duly passed on to consumers.

c. Technology Driven System: A robust and comprehensive IT system would be the foundation of the GST regime in India. Therefore, all tax payer services such as registrations, returns, payments, self- assessment, and so on would be available to the taxpayers online, making compliance easy and transparent.

d. Increased Revenue: A simpler tax structure can bring about greater compliance, thus increasing the number of tax payers and in turn tax revenues for the Government. The elimination of the cascading effect will directly result in price reduction of products which will benefit the end consumer.

Now that we know the advantages of GST, let us understand more about GST. Introduction

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WHAT IS GST?

GST is tax on supply of goods and services with input credit set off available at the next stage of value addition from manufacturer to distributor to retailer until the end consumer. This means, suppliers at each stage are permitted to set-off the GST paid on the purchase of goods or services against the GST to be paid on the supply of goods or services respectively. The end consumer will thus pay only the GST charged by the last dealer in the supply chain. Since taxes at each stage are set-off, cascading effect gets eliminated. Let us now discuss some features of GST.

2.1. DUAL GST

In the dual GST model, both federal (the center) and provincial (the states) governments will levy GST separately rather than the center levying the taxes and sharing the revenue with the states.

Dual GST is preferred in federal systems, where the power is divided between the Centre and the states. This means, the center and the states can levy and collect taxes. The states don't have to depend on the Centre to share the revenues.

Since India is a federal country, the dual GST model will be implemented. Under this system, tax is administered, collected and shared by both the Centre and States based on the nature of transaction (Within a state or interstate).

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2.2. STRUCTURE OF GST

On every supply of goods and services, a tax component of the Centre and State will be applicable

Tax Component	Tax Applicability	Revenue Sharing
Central GST (CGST)	On intra-state supply of goods and services	Centre
State GST (SGST)	On intra-state supply of goods and services	State
Union Territory GST (UTGST)	On intra-union territory supply of goods and services	Union Territory
Integrated GST (IGST)	On interstate and import transactions	Centre and State

Note: As per Final GST act, the terminologies have changed from CGST to Central Tax, SGST to State Tax, UTGST to Union Territory Tax, IGST to Integrated Tax.

WHY UTGST?

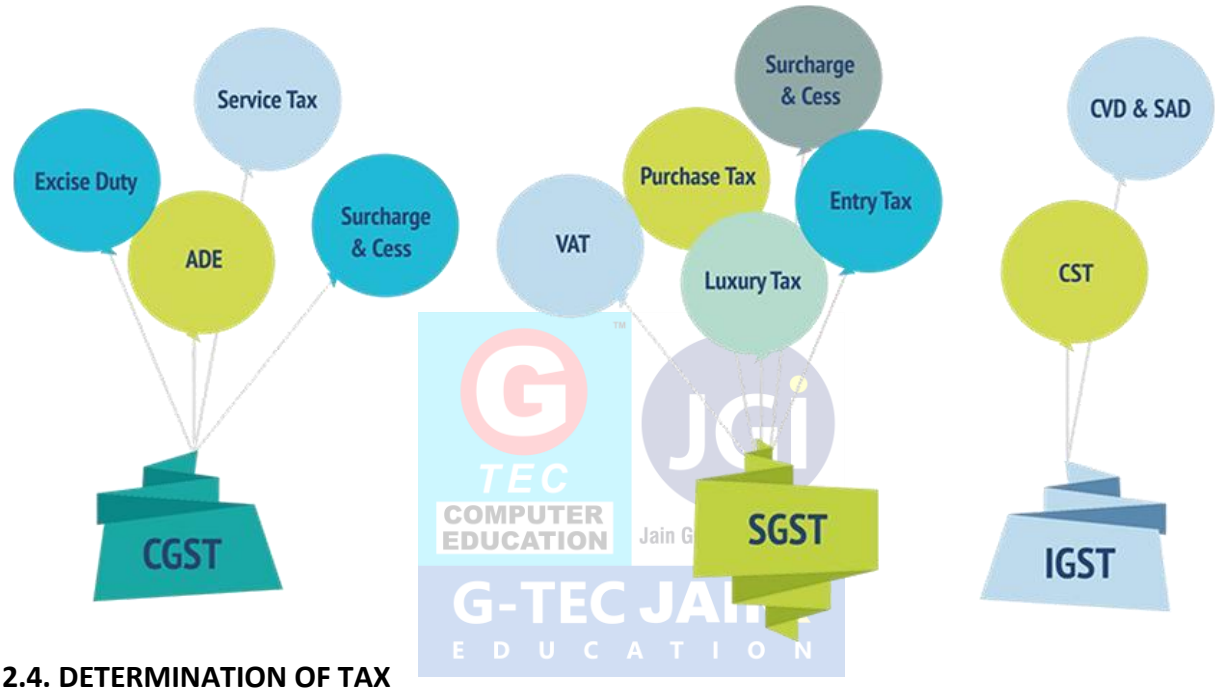
Under GST, the SGST Act applies to all the states of India. The definition of 'States' as per the constitution of India includes union territories with their own legislature. Hence, the SGST act can't be applicable on union territories without its own legislature. The GST council has therefore introduced the UTGST Act to levy tax from the union territories that don't have a

legislature. UTGST will be levied in Chandigarh, Lakshadweep, Daman and Diu, Dadra and Nagar Haveli and Andaman and Nicobar Islands instead of SGST.

Note: Delhi and Puducherry have their own legislatures and the SGST Act will be applicable for these territories.

2.3. TAXES SUBSUMED UNDER GST

All central taxes are subsumed under Central GST (CGST), state taxes under State GST (SGST)/Union Territory GST, and the Central Sales Tax, and CVD and SAD applicable on imports are subsumed under the Integrated GST (IGST).



2.4. DETERMINATION OF TAX

The structure of indirect taxes was origin based, and with GST we moved to a destination-based tax system. Let us understand the difference:

Origin Based	Destination Based
The revenue collected as tax will reach to the State where the supplier is located.	The revenue collected as tax will reach the State where the supply/consumption happens.
For example, Ram Trading Ltd, located in Karnataka, supplies goods to M/s Ganesh Trading Ltd based in Tamil Nadu	For example, Ram Trading Ltd, located in Karnataka, supplies goods to M/s Ganesh Trading Ltd based in TamilNadu
Tax revenue will reach Karnataka since Ram Trading Ltd. is located in Karnataka.	Tax revenue will reach TamilNadu since the place of supply is TamilNadu.

2.5. Calculation of Taxes in GST

We know that one of the salient features of GST is seamless flow of tax credit, eliminating the cascading effect of all indirect taxes in the supply chain, from manufacturers, to retailers, and

across states. In the pre-GST regime, as we have learnt, the chain of input tax credit is broken in scenarios where CST is applicable on interstate trade, and is non-creditable, or when a manufacturer charges excise duty on sale to a dealer. This most often results in adding to the cost of the product.

Let us understand this with an example, comparing the tax calculation in the pre-GST regime with tax calculation under GST.

Intra State Supply

	Intra State Supply	Pre-GST	GST	
Manufacturer	Product sale price	1000	1000	
	Excise Duty@12%	120	CGST@9%	90
	Vat 14%	157	SGST@9%	90
	Dealer invoice	1277		1180
Dealer	Dealer (1,000 + 120)	1120		1000
	Margin	100		100
	Sale price for dealer	1220		1100
	VAT@14%	171	CGST@9%	99
			SGST@9%	99
	Price to customer	1391		1298
	Dealers tax liability			
	Net VAT / GST after set-off	14		18
Consumer	Saving to consumer			93

Under the pre-GST tax system, the dealer cost is ` 1,120/-, including the excise duty of ` 120. Since the central excise law does not permit excise duty paid on purchases to be set off against the dealer's liability, it is added to the overall cost. Secondly, VAT is calculated including the excise duty value leading to double taxation.

This results in the tax amount cascading down to the end customer, and there by, an increase in the cost of the product.

Under GST, the taxes paid by the dealer (CGST + SGST) to the manufacturer is not added to the cost. This is because GST allows the dealer to set off the tax liability of CGST+SGST. It results in reduced product cost, and a saving of ` 93 for the consumer.

This is one of the fundamental features of GST - it allows seamless credit from manufacturer to dealer, and eliminates the cascading effect.

Interstate Supply

In the example below, the manufacturer is located in Tamil Nadu while the dealer and his customers are from Karnataka.

Interstate Supply

	Intra State Supply	Pre-GST	GST	
Manufacturer	Product sale price	1000	1000	
	Excise Duty@12%	120		
	CST 2%	22	IGST@18%	180
	Dealer invoice	1142		1180
Dealer	Dealer (1,000 + 120)	1142		1000
	Margin	100		100
	Sale price for dealer	1242		1100
	VAT@14%	174	CGST@9%	99
			SGST@9%	99
	Price to customer	1416		1298
	Dealers tax liability			
	Net VAT / GST after set-off	174		18
Consumer	Saving to consumer			118

***CST of 2% is applicable if sale is made against C-Form.**

Under the pre-GST tax system, on interstate transactions, CST paid is not allowed as input tax credit. Hence, the dealer cost of ` 1, 142 includes the excise duty of ` 120 and CST of ` 22. As a result, product cost increases and making interstate purchases proves expensive.

Under GST, the tax paid by a dealer to a manufacturer is not added to the product cost. This is because GST allows the dealer to take the input tax credit on interstate inward supply which can be used to set off the tax liability of CGST+SGST. This results in reduced product cost and savings of ` 118 to the consumer. As a result, doing business in the country will become tax neutral, irrespective of the choice of place of doing business

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Registration

In the pre-GST tax structure, businesses registered under VAT were assigned TIN, and service providers had service tax registration numbers. Now, all businesses will be unified under the 'One Tax' - GST. This leads to unified tax registration of all businesses.

Being registered under the GST law means a business is acknowledged by the government of India, as a supplier of Goods and Services. Only registered businesses are allowed to claim Input Tax Credit.

On registration, each business will be allocated a unique 15-digit PAN based registration number. This is called the GST Identification Number (GSTIN).

Let us now understand the structure of GSTIN.

State Code		PAN										Entity Code	Blank	Checksum digit
1	2	3	4	5	6	7	8	9	10	11	12	13	14	15

3.1. LIABILITY TO REGISTER

Are all businesses liable to register under GST? The next section will explain on what terms a business becomes liable to register under GST.

THRESHOLD LIMIT

Businesses crossing the defined annual aggregate turnover threshold are liable to register under GST. Aggregate turnover includes the value of all taxable, exempt, and export supplies made across India by a business with the same PAN.

The annual aggregate turnover threshold beyond which a business becomes liable to be charged GST is as follows:

Region	Turnover Threshold (in `)
Special category states* (Arunachal Pradesh, Assam, Manipur, Meghalaya, Mizoram, Nagaland, Sikkim, Tripura, Himachal Pradesh and Uttarakhand)	20 Lakh
The Rest of India	40 Lakh

This means that on the day a dealer crosses the ` 20 lakh/40 lakh turnover threshold, he should register under GST, can charge GST, and is eligible to claim input tax credit. Persons providing services need to register if their aggregate turnover exceeds Rs.20 lakh (for normal category states) and Rs.10 lakh (for special category states)

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Example

Let us understand the liability of a business to register under GST using an example. Rev Cars Ltd. is a car manufacturing unit in Karnataka. They also own a service unit located in Karnataka and Delhi. Additional details are furnished below:

Name	Business Unit	Location	PAN Number	Turnover (in ₹)
Rev Cars Ltd.	Manufacturing	Karnataka	AEHCS3476M	78 Crores
Rev Cars Ltd.	Service	Karnataka	AEHCS3476M	80 lakhs
Rev Cars Ltd.	Service	Delhi	AEHCS3476M	55 Lakhs
			Aggregate Turnover	79.45 crores

As per this example,

- All 3 units are registered under same PAN AEHCS3476M
- To arrive at the aggregate turnover, the turnover of all 3 units (located in Karnataka and Delhi) will be considered.
- Therefore, the aggregate turnover will be ` 79.45 crores.
- This implies that both the manufacturing and the service units of Rev Cars Ltd. are required to register under GST

3.2 MANDATORY REGISTRATION

The following category of persons have to mandatorily register, irrespective of their turnover:

Persons doing taxable, interstate supply.

- Casual and non-resident taxable persons
- Businesses liable to pay tax under reverse charge
- Agents supplying on behalf of taxable persons
- Input service distributors
- Sellers on ecommerce platforms
- E-commerce operators
- Person supplying online information and database access or retrieval services from outside India to an unregistered person in India
- Persons responsible to deduct TDS (Government Departments) this means that the persons will have to register even if they made a turnover of .

3.3 PROCESS OF REGISTRATION

We will discuss the process of GST registration for:

- Existing Dealers
- New Dealers

EXISTING DEALERS

Existing dealers who have already registered under the indirect taxes system, like VAT, Central Excise and Service Tax, will be auto migrated to GST, and will be given provisional registration. Upon submitting the required documents and details, final registration will be granted.

Process

This flow is applicable in a scenario where the details furnished by the dealer are satisfactory and the registration is successful in the first attempt.

1. All the dealers previously registered will submit their PAN, mobile number, and e-mail ID in the common portal to enroll. The details entered are then verified.
2. On enrolment, the dealer will be allotted with a provisional certificate of registration in Form GST REG-25.

   Note: If a dealer has obtained multiple registrations on the basis of single PAN, he will still be granted only one provisional registration. In case of centralized registration under Service Tax, a dealer will be granted with single provisional registration in the state or union territory in which the he was registered earlier.
3. Within 3 months, dealers are required to submit Form GST REG-24 in the GST Portal along with information and documents as prescribed.
4. If the information provided is complete and satisfactory, final registration certificate will be issued in Form GST REG-06.

Next, let's understand the process in a scenario where the details furnished by the dealer are unsatisfactory, calling for a show cause notice.

1. All the dealers registered will submit their PAN, mobile number, and e-mail ID in the common portal to enroll. The details entered are then verified.
2. On enrolment, the dealer will be allotted with a provisional certificate of registration in Form GST REG-25.
3. If the details submitted are not satisfactory, a show cause notice will be issued in Form GST REG-27, and there will be a hearing to determine the facts. 4.
4. If the show cause hearing is not successful, or if the details are not provided within the stipulated period, the provisional registration allotted in Form GST REG-25 will be cancelled by issuing an order in Form GST REG-26.

   Note: If the show cause hearing is successful, final registration certificate will be issued in Form GST REG- 06.

What happens to registered dealers (Central and State law) who are not required to register under GST?

Registered dealers (Central and State law) who are not required to register under GST have the option to cancel the provisional registration issued by submitting Form GST REG-28.

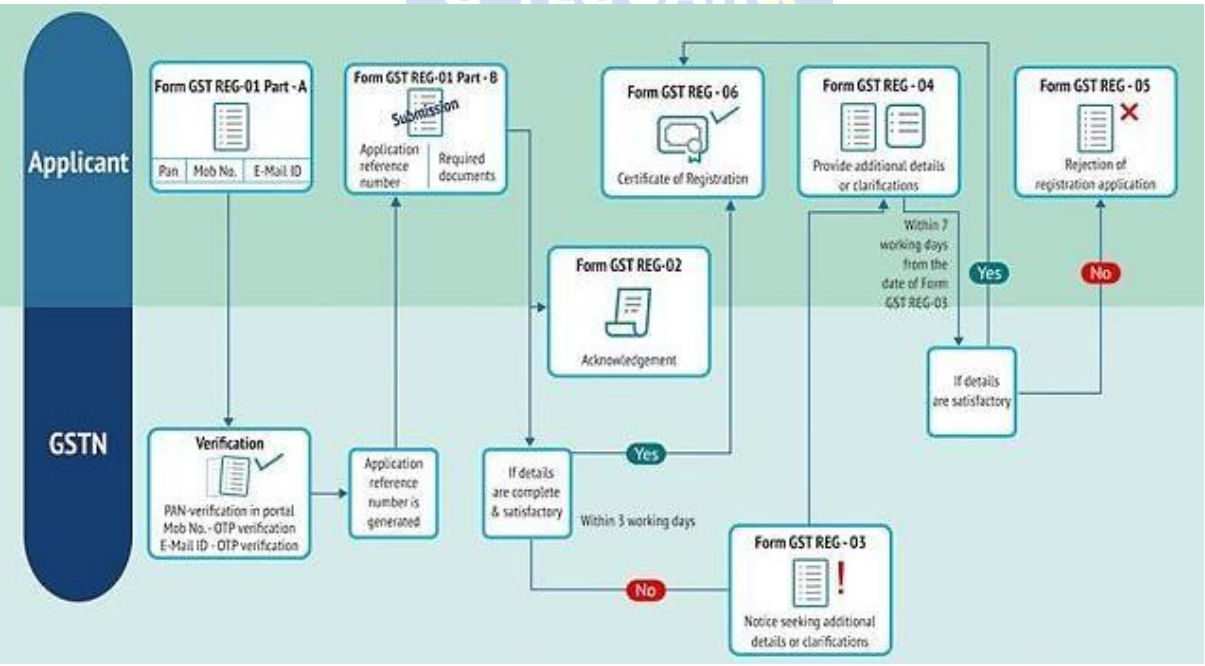
3.4 NEW REGISTRATION

As we know, when a dealer crosses the ` 20 lakh/40 lakh aggregate turnover threshold, he is liable to apply for GST registration. However, even if the aggregate turnover is within the prescribed limit, the law provides an option for a business to voluntarily register under GST.

New registration process – For regular and composition tax payer

1. Fill Part-A of the Form GST REG-01. Provide your PAN, mobile number, e-mail address, and submit the form.
2. The PAN number verified on the portal. mobile number, and e-mail address are verified through OTP (One Time Passwords)
3. You will receive an application reference number on your mobile, and via e-mail.4.
4. Fill Part-B of Form GST REG-01 and specify the application reference number you received. Attach other required documents and submit the form.
5. If any additional information is required, Form GST REG-03 will be issued to you. You need to respond in Form GST REG-04 with the required information within 7 working days from the date of receipt of Form GST REG-03.
6. If you have provided all the required information via Form GST REG-01 or Form GST REG04, a certificate of registration in Form GST REG-06 will be issued within 3 days from the date of receipt of Form GST REG- 01 or Form GST REG-04.

If the details submitted are not satisfactory, the registration application is rejected using Form GST REG-05.Registration



3.5 AMENDMENT, CANCELLATION AND REVOCATION OF REGISTRATION

Amendment of registration

Any change in details furnished at the time of registration must be submitted within 15 days from the date of making such changes by submitting the prescribed forms.

Cancellation of registration

If the registered taxable person is no longer required to register under GST, he/she can apply for cancellation of registration by submitting the prescribed forms along with the closing stock details and other relevant documents, as required.

Revocation of registration

In case the registration is cancelled by an officer, a taxable person can apply for revocation by submitting the prescribed form within 30 days of the date of cancellation order.

3.6 COMPOSITION TAX PAYER

To ease the process of compliance for small dealers in the states, the composition scheme is provided. Under this scheme, a dealer:

- Is required to pay tax at certain percentage of turnover.
- Need not maintain detailed records and documents nor follow the rules and procedures of issuing a tax invoice, maintaining stock, filing of invoice-wise sales and purchase, and so on.
- Only needs to file periodic returns, usually on a quarterly basis.
- Will not be allowed to avail ITC
- Is not allowed to collect tax on sales.

Thus, for small businesses, it is simpler to calculate tax liability and save lot of time in maintaining detailed records.

Let us understand how composition scheme is different from regular with an example

S.no	Composite Dealer		Regular Dealer	
1	Purchase	25,000	Purchase	25,000
2	VAT @ 5%	1,250	VAT @ 5%	1,250
3	**Dealer Cost**	**26,250**	**Dealer Cost**	**26,250**
4	Margin (10%)	2,625	Margin (10%)	2,500
5	**Sales Price (Dealer Cost + Margin)**	**28,875**	**Sales Price (Dealer Cost + Margin)**	**27,500**
6	VAT (Since composite dealer can't charge tax)	0	VAT @ 5%	1,375
7	**Customer Price**	**28,875**	**Customer Price**	**28,875**
8	Tax Payable @ 1% on turnover of ₹ 28,875	289	Tax Payable (Output VAT – Input VAT)	1375 – 1250 = 125

You can see that both the composite dealer and the regular dealer pay 5% VAT on their purchase. However, since the regular dealer can claim ITC, VAT doesn't get added to the cost of the product. The composite dealer can't claim ITC and this amount gets added to the cost of the product.

The composite dealer can't collect VAT, but the regular dealer can charge VAT from his customers and issue a tax invoice.

The composite dealer will pay tax on a fixed percentage of his turnover but has no input tax credit to set off but the regular dealer can set off the input VAT and the input VAT

Composition levy in GST

In GST also, a similar benefit will be extended to small dealers, who can opt for compliance under the composition scheme. In GST, this is referred to as 'Composition Levy' and the registered taxable person who is allowed pay tax at a certain percentage of the turnover during the year is called the Composition tax payer.

Region	Turnover Threshold (in ₹)
Arunachal Pradesh, Assam, Manipur, Meghalaya, Mizoram, Nagaland, Sikkim, Tripura, and Himachal Pradesh	50 Lakhs
The Rest of India	75 Lakhs

Rate of Levy

The composite rate of levy is as below

Nature of Business	% of Turnover
Manufacturers	2
Traders	1
Supplier of food and drinks for human consumption	5

Note: As per the recommendation by the council, the government may increase the threshold limit, but not exceeding 1 crore.

Apart from the threshold limit, the following conditions are critical in determining the eligibility for composition levy:

A composite dealer cannot:

- be engaged in supply of services
- be engaged in the manufacture of specific notified goods (Yet to be notified)
- supply goods not taxable under GST
- be a casual taxable person and a non-resident taxable person
- be engaged in interstate supply of goods or services and imports

This implies that if a dealer wants to choose to be a 'composition dealer', then all supply of goods and/or services dealt by him should be restricted within the state

- Opt the composite scheme for goods and regular for services or the vice versa, if he is a supplier of both goods and services.
- Opt for composite scheme in one vertical and regular in another when he deals with multiple verticals, for businesses under the same PAN

This means an individual can own multiple businesses under different verticals like,

- Sale of mobile and accessories
- Sale of stationeries
- Franchisee of KFC

In the above scenario, the composition scheme will be applicable for all the 3 business verticals. The dealer cannot opt for the composition scheme for one business, and regular for another.

- Collect tax on all his outward supply of goods and/or services.
- Claim input tax credit, and is not eligible for input tax credit on all his inward supply of goods and/or services. This implies that when the composition dealer receives goods (purchases) from a regular taxable person, though tax is charged in the tax invoice, the dealer cannot claim input tax credit. This will form a part of the cost to composition dealer.
- On the top of bill (Bill of supply), he needs to mention 'composition taxable person, not eligible to collect tax on supplies'
- The words 'composition taxable person' should be mentioned on every notice or signboard displayed at a prominent place at his principal place of business and at every additional place or places of business

SUPPLY OF GOODS AND SERVICES

We know that all the different indirect taxes are subsumed under GST. This means, the concept of manufacture of goods, sale of goods, and provision of services will no longer be relevant. This makes the determination of point of taxation for GST simple. The taxable event under GST is the supply of goods and/or services.

Thus, for every business, it is important to understand the relevance of supply. Supply sets the scope of transactions as liable for the levy of GST.

4.1 SCOPE OF SUPPLY

The term Supply includes all forms of supply of goods or services, supplied or to be supplied, for a consideration, in the course of or for furtherance of business.

However, there are specific types of supplies mentioned in the law which need to be considered as supply even without a consideration.

Let us understand by categorizing the different types of supply as:

- Supplies made for a consideration in the course of or for furtherance of business
- Supplies without consideration
- Supplies made for a consideration whether or not in the course of or for furtherance of business

4.1.1 Supplies made for a consideration in the course of or for furtherance of business

The following are considered as supply with consideration

Sale	Any sale of goods or services which broadly result in the transfer of title in case of goods, and transfer of right to use in case of services.
Transfer	Any transfers between braches form a part of supply and are taxable. However, GST paid on branch transfers are fully available as Input Tax Credit.
Barter /Exchange	When the consideration is paid through goods instead of money. For example: A seller has supplied goods and the buyer, supplies goods to the extent of payment. Or when one product is exchanged with another product.
License	Any grant of license to use forms part of supply. For example: online subscriptions.
Rental	Renting of property fully or partially is a supply under GST.
Lease	Letting out the building or property on lease is a supply under GST.
Disposal	Disposal of business assets forms part of supply.

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4.1.2 Supply Without Consideration

The following activities are considered as Supply even without consideration, and are liable for tax.

1. PERMANENT TRANSFER/DISPOSAL OF BUSINESS ASSETS ON WHICH INPUT TAX CREDIT HAS BEEN AVAILED

In the event of sale or transfer of business assets i.e. capital goods on which Input Tax Credit was availed – the transaction shall be treated as supply even when these are cleared or transferred without consideration, and the business is liable to pay GST.

For example

Rose Traders Ltd purchased 15 computers worth ` 3,00,000/- and paid GST of ` 54,000/-. Rose Traders Ltd Availed Input Tax Credit of ` 54,000/-. These computers were used for maintaining the records and accounts of the business.

After years of usage, Rose Traders Ltd decided to give these computers away to the employees without any cost.

Though the computers were disposed without any consideration, Rose Traders Ltd is liable to pay GST

2. SUPPLY OF GOODS OR SERVICES BETWEEN RELATED PERSONS AND DISTINCT PERSONS.

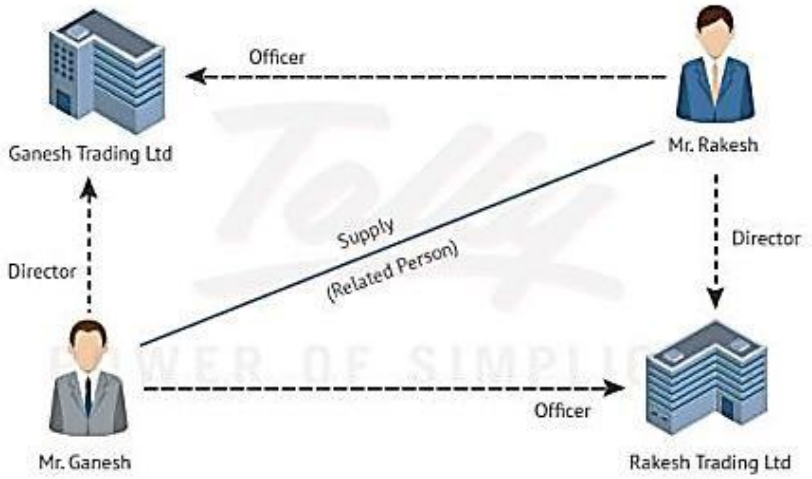
Related person

When is supply of goods or services between related persons?

- In a supply, if the supplier and the recipient are actually officers or directors of each other's business.

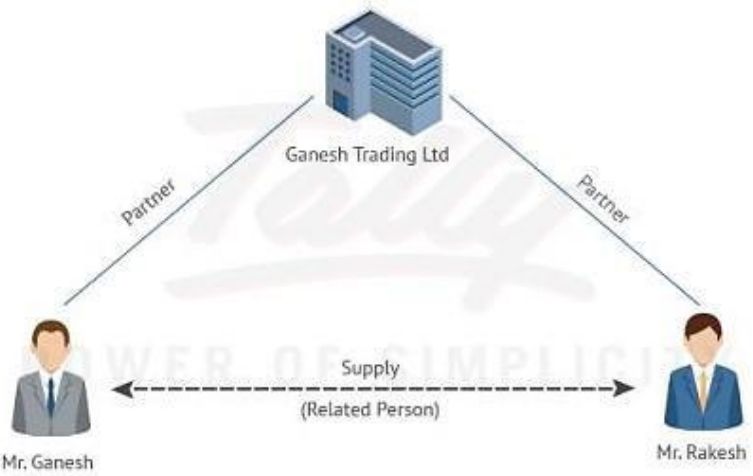
For example, Mr. Ganesh is a Director in Ganesh Trading Ltd, and an officer in Rakesh Trading Ltd. Mr. Rakesh, is a Director in Rakesh Trading Ltd. Also, Rakesh is an officer in Ganesh Trading Ltd. Therefore, any supply between them, will be treated as supply between related persons

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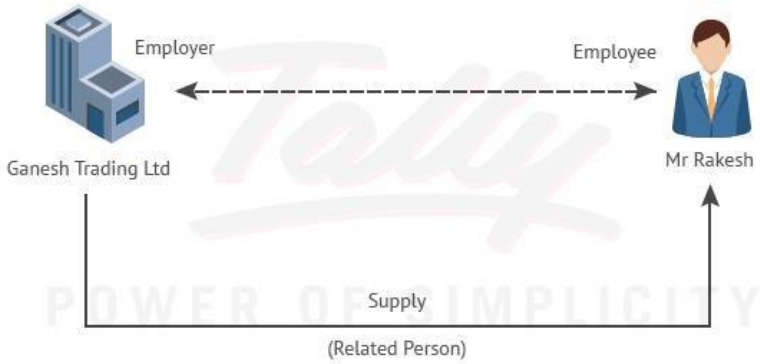
- The supplier and the recipient are legally recognized partners in the same business or associated business.

For example, Mr. Ganesh and Mr. Rakesh are partners in Ganesh Trading Ltd. Any supply between Mr. Ganesh and Mr. Rakesh will be treated as supply between related persons.



- Any supply of goods and services between employer and employee. However, gifts not exceeding ` 50,000 in value in a financial year by an employer to an employee shall not be treated as supply of goods or services or both and GST will not be levied

For example, Mr. Rakesh is an employee of Ganesh Trading Ltd. Any supply from Ganesh Trading Ltd to Mr. Rakesh is considered as supply between related persons.



- The supplier or recipient directly or indirectly owns, controls or holds twenty-five per cent or more of the outstanding voting stock or shares. For example, the recipient holds 25% of equity in the supplier's business.
- If in any supply, the supplier or the recipient directly or indirectly controls the other, then it is considered as supply between related persons

Direct Control

Example: Ganesh Trading Ltd holds equity in Rakesh Trading Ltd. The supply between Ganesh Trading and Rakesh Trading are related since Ganesh Trading Ltd directly controls Rakesh Trading Ltd.'s business



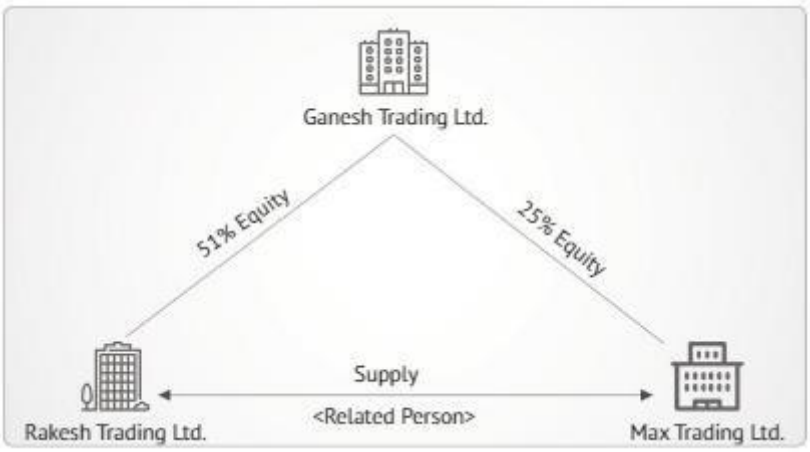
Indirect Control

Example: Ganesh Trading Ltd holds equity in Rakesh Trading Ltd. holds equity in Max Trading Ltd. Any supply between Ganesh Trading Ltd and Max Trading Ltd. are related. This is because Ganesh Trading Ltd. indirectly controls Max Trading's Ltd business by way of 'Rakesh Trading's' business interest in Max Trading Ltd.



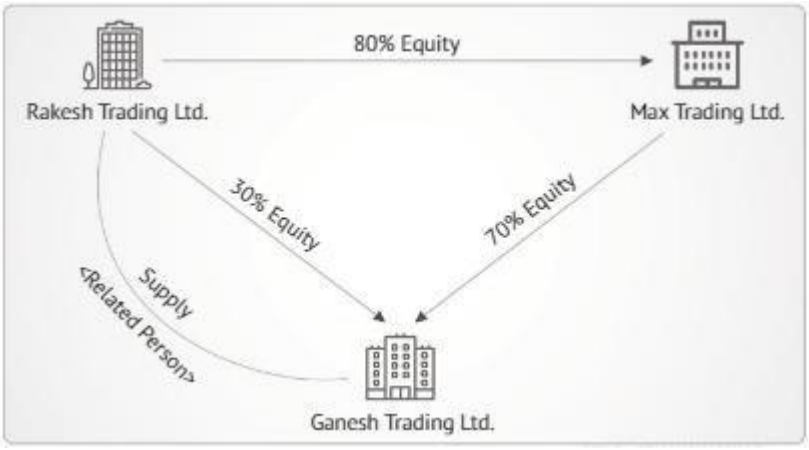
- If in any supply, the supplier and the recipient are directly or indirectly controlled by a third person

For example, Ganesh Trading Ltd holds equity in Rakesh Trading ltd and Max Trading. The supply between Rakesh Trading Ltd and Max Trading ltd are related since both of them are directly controlled by Ganesh Trading Ltd



- If in any supply, the supplier and the recipient, together, directly or indirectly control a third person

For example, Rakesh Trading Ltd holds 80% equity in Max Trading Ltd and 30% in Ganesh Trading Ltd. Max Trading Ltd' hold 70% equity in Ganesh Trading Ltd. Now, together, Rakesh Trading Ltd has control over Ganesh Trading Ltd and the supply between them will be considered as supply between related persons.



A supply made between the members of the same family is considered as supply between related persons **Distinct Person**

A distinct person can be defined as a taxable person who has obtained or is required to obtain more than one registration in the same state or a different state or an establishment of a person who has obtained or is required to obtain a registration, and also has the establishment in another state

Each of his/her registration and establishment will be treated as a distinct Person, and any supply between them will be taxable.

Therefore, any stock transfer or branch transfers are taxable in the following two cases:

- Intrastate stock transfer: Only when an entity has more than one registration in one state.

For example, Rev Cars Ltd. is a car manufacturing unit located in Karnataka. They also own a service unit in Karnataka. Rev Cars Ltd have obtained separate registrations for both the manufacturing and service units.

The manufacturing unit and the service unit of Rev Cars Ltd will be treated as distinct persons, and any supply between them will be taxable, even without consideration.

- Inter State Stock transfer: Transfer between two entities located in different states is taxable.

For example, Rev Cars Ltd is a car manufacturing unit located in Karnataka. They also own a service unit in Delhi.

The manufacturing unit in Bangalore, and the service unit of Rev Cars Ltd located in Delhi will be treated as distinct persons, and any supply between them will be taxable, even without consideration.

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3. SUPPLY OF GOODS BETWEEN PRINCIPAL AND HIS AGENT

Supply of goods under the following scenario is considered as taxable supply even without consideration:

- Supply by the Agent to the Principal: When the agent undertakes to receive such goods on behalf of the principal.

For Example, Rev Car Ltd appoints Sharma Agency as an agent. They will store the spare parts supplied by Rev Cars Ltd, as and when an order is received by Rev Cars Ltd from his dealers, instruction will be sent to Sharma Agency to supply the consignment.

Also, Sharma Agency is entrusted to receive the supply of raw material from manufacturers on behalf of Rev Cars Ltd.

As per the example,·

- Rev Cars Ltd is the principal and Sharma Agency is the agent. ·
- Supply of spare parts by Rev Cars Ltd to Sharma Agency is a taxable supply ·
- The receipt of raw material by Sharma Agency on behalf Rev Cars Ltd and the subsequent supply by Sharma Agency to Rev Cars Ltd is a taxable supply.

The liability on the above will be either shared jointly by Rev Cars Ltd and Sharma Agency, or individually borne by either of them.

4. Import of services in the course or for furtherance of business, by a taxable person from a related person or from any of his other establishments outside India.

This implies that services imported without consideration from related persons situated outside India will be subject to levy of GST only if it is in the course of or for furtherance of business.

For example, interior design service received by a branch from its head office, located in Singapore. The interior service is taxable and liable for GST on reverse charge.

Hence, service imported without consideration from unrelated persons for the furtherance of business, and import of service without consideration for personal use is not a supply, and consequently, not subject to GST.

For example, interior design service from its head office, located in Singapore for personal purpose without any consideration. For example, interior design for a personal residence. Since the service is free and for personal use, it is not subject to GST.

4.1.3 Supplies made for a consideration whether or not in the course or for furtherance of business

The import of service for a consideration whether or not in the course or for furtherance of business is considered as taxable supply. This implies that if the services are imported for a consideration, either for business purpose or for personal use, you are liable to pay GST.

For example, RK Automobiles Ltd. imported navigation design services from a vendor in Singapore for a consideration of SGD (Singapore Dollars) 20,000.

Now, RK Automobiles Ltd is liable pay GST on the above-mentioned import of service on reverse charge.

4.2 MIXED SUPPLY AND COMPOSITE SUPPLY

If you look at the market today, you will notice how, very often, two or more goods, or a combination of goods and services, are supplied together. This could be due to either of the following reasons

a) A sales strategy – to attract more customers
b) The nature or type of goods or services, requires them to be bundled or supplied together

Under Service Tax, this mechanism is called Bundled Service – which is the rendering of a service or services with another element of service or services.

Under GST, supplies which are bundled with two or more supplies of goods or services or combination of goods and services are classified, with distinct characteristics, as:

- Mixed Supply
- Composite Supply

4.2.1 Mixed Supply

The supply of two or more individual supplies of goods or services, or any combination of goods and services, by a taxable person, for a single price, is called mixed supply.

In a mixed supply, the combination of goods and/or services are not bundled due to natural necessities, and they can be supplied individually in the ordinary course of business.

Determining Mixed Supply

Let us understand this with an example.

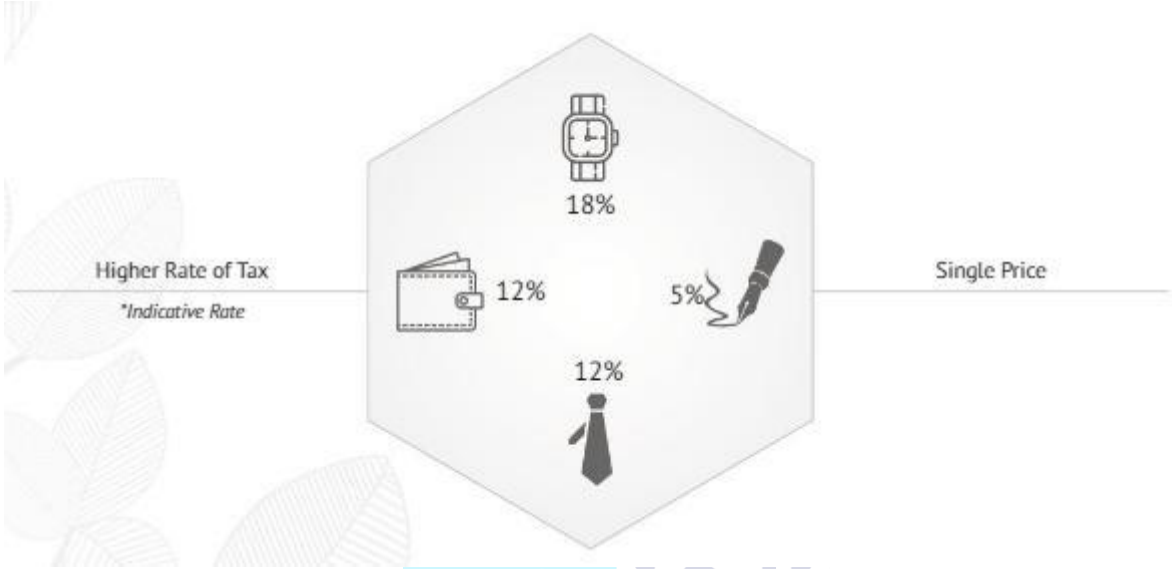
Consider a kit which contains a tie, a watch, a wallet, and a pen as a combo for ` 4,500/-

Note that:

- Tie, watch, wallet, and pen are bundled as a kit

- The supply of a tie does not naturally necessitate the supply of other elements (watch, wallet, pen) and vice versa
- The kit is supplied for a single price

Tax liability on mixed supply to calculate the tax liability on Mixed Supply, the tax rate applicable on the goods or services attracting the highest rate of tax, in the combination of goods and services, will be considered



In the example of the kit, the wallet attracts the highest rate of tax in the mixed supply i.e., 18%. Hence, the mixed supply will be taxed at 18%

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4.2.2 Composite Supply

Composite Supply of goods and services is made by a taxable person to a recipient, and:

- It comprises two or more supplies of goods or services, or
- A combination of goods and services, which are naturally bundled and supplied, in the ordinary course of business.

This means that the goods and services are bundled owing to natural necessities. The elements in a composite supply of goods and services are dependent elements on the 'principal supply' of goods or services.

What is a Principal Supply?

The pre-dominant element in the supply of goods or services, forming part of composite supply, is principal supply, and any other dependent supply, forming part of composite supplies, are secondary to principal supply.

Determination of Composite Supply

Let us understand this with an example,

1. A 5-star hotel in Mumbai provides a 4 days/3 night's package, with breakfast.

   This is a composite supply as the package of accommodation facilities and breakfast is natural combination in the ordinary course of business for a hotel. In this case, the hotel accommodation is the principal supply, and breakfast is ancillary to the hotel accommodation.

2. A 5-star hotel in Mumbai provides a 4 day/3 nights package with the breakfast and one day Mumbai Darshan.

   The inclusion of Mumbai Darshan in this package is not a natural requisite to accommodation in the hotel. Hence, this does not amount to composite supply. This is a mixed supply.

3. Sale of Laptop with Bag.

This is a composite supply because laptop bag is natural requisite to carry the laptop. But if the customer opts for a multipurpose bag like backpack bag, it is not a composite supply since it is not naturally bundled.

Tax liability of composite supply

For the purpose of calculating tax liability, the rate of tax applicable on the principal supply of such goods and services will be affected on the composite supply. Let us consider the same example,

1. A 5-star hotel in Mumbai provides a 4 days/3 night's package with the breakfast. Let us assume, the hotel accommodation attracts 12% tax and the restaurant service attracts 18% tax.

As per the example, hotel accommodation is the principal supply, and the entire supply will be taxed at 12%

4.3 Determining the Supply of Goods or Service

Schedule-II of the model GST law provides clarity on determining the type of supply as supply of goods or supply of services. This aims at eliminating the dilemma in the indirect tax system, for example, Service Tax Vs. VAT on works contract, AC Restaurant Service, Software, etc.

It is, therefore, important for businesses to know whether the supply amounts to supply of goods or supply of services, and treat supply accordingly.

The law broadly lists transactions related to transfers, land and building, treatment or process (applied on third party's goods), and transactions related to construction and works contact, renting, etc.

Let us discuss some important supplies with examples

SLNo	Forms of supply	Treated as supply of ?	Example
1	Any transfer of the title in goods	Goods	Furniture House sold furniture to Mr. Ganesh. This will be treated as supply of goods, because on sale, the title of the furniture is transferred to Mr. Ganesh.
2	Any transfer of goods without transfer of title	Services	Furniture House supplied furniture to Mr. Rakesh, on rental basis, for a period of 3 months. This is considered as supply of service because furniture is transferred for Mr. Rakesh's usage, and the title of the furniture is still with Furniture House.
3	Any transfer of title of goods under an agreement which stipulates that property in goods will pass at a future date upon payment of full consideration as agreed.	Goods	Furniture House supplied furniture to Mr. Ramesh in an agreement to receive payments in 6 instalments. This amounts supply of goods, because the title of the furniture will pass on to Mr. Ramesh on completing the payment of 6 instalments. Typically, all hire purchase will qualify under this section.
4	Any lease, easement, tenancy, and licence to occupy land	Services	Mr. Suresh let out land on lease to Furniture House. The letting out of land on lease is considered as supply of services.
5	Any lease or letting out of the building including a commercial, industrial or residential complex for business or commerce, either wholly or partly	Services	Mr. Suresh let out a building to Furniture House. Furniture House used the building for display and sale of furniture. This is a supply of services.

Sl.No	Forms of supply	Treated as supply of ?	Example
6	Job work - Any treatment or process which is being applied to another person's goods	Services	Furniture House also undertakes repair works and polishing of the furniture of their customers. The repair and polishing activity will be treated as supply of service.
7	Permanent transfer or disposal of business assets transferred with or without consideration	Goods	After years of business usage, computers were given to employee for free of cost. This is a supply of goods
8	Business assets put to private use or non-business use whether or not for a consideration	Services	Car used for business is put to private use. This is a supply of services.
9	Renting of immovable property	Services	Renting of shop premises is considered as supply of services
10	Development, design, programming, customisation, adaptation, up-gradation, enhancement, implementation of information technology software	Services	Max Technologies Ltd developed a payroll software for Furniture House. The development of software is a supply of services.
11	Works contract, including transfer of property in goods (whether as goods or in some other form) involved in the execution of a works contract of immovable property	Services	Murali Construction Ltd. constructed a commercial complex involving material and labour. This is a supply of services

PLACE OF SUPPLY

Two key aspects to be considered while levying taxes based on place of supply:

- Location of supplier
- Place of supply Determining the place of supply is critical to:
- Know taxable jurisdiction where tax should reach
- Determine if the nature of transaction is intrastate (subject CGST + SGST/UTGST) or interstate (subject to IGST)

Criteria	Nature of Transaction	Tax Components
Location of supplier and place of supply are the same. For example, location of supplier and the place of supply is **Karnataka**.	Intra-state	CGST + SGST or UTGST
Location of supplier and place of supply are two different states For example, location of supplier is Karnataka and the place of supply is Tamil Nadu.	Interstate	IGST

Apart from the place of supply, the following are also treated as interstate supplies:

- Import of goods or services
- Export of goods or services
- Supply of goods manufactured by a unit in the Special Economic Zone (SEZ), even if the location of the SEZ and the place of supply are the same.

We will discuss determining place of supply of goods and services in two separate heads.

5.1.1. Determining the place of supply of goods

Goods being tangible, determining the place of supply is far more direct. Services are intangible, and with the uncertainty involved in knowing the mode of delivery of the service, place of supply or the location of the supplier or recipient, the provisions are different for determining the place of supply of services.

There are some specific scenarios to be discussed in the context of place of supply of goods.

Scenario	Location of Supplier	Place of Supply	Nature of Supply	Tax Component(s)
GK Systems in Bengaluru supply computers to Ganesh Electronics in Mysore	Bengaluru, Karnataka	Mysore, Karnataka	Intra-state	CGST+SGST
GK Systems in Bengaluru supply computers to Shivaji Computers, Pune	Bengaluru, Karnataka	Pune, Maharashtra	Interstate	IGST
Note: In the scenarios we discussed, we observed that the place of supply is the location where the movement of goods terminate for delivery.				

What happens when goods are installed or assembled at site?

The place of supply is where the location where the installation or assembling happens.

Scenario	Location of Supplier	Place of Supply	Nature of Supply	Tax Component(s)
Royal Agencies, Chennai purchased a lift for their branch office in Mumbai from Escalates Pvt. Ltd, Chennai. The lift is installed in the Mumbai branch.	Chennai, Tamil Nadu	Mumbai, Maharashtra	Interstate	IGST

In this scenario, although the supplier and the buyer are registered in Chennai, since the location of installation is Mumbai, this is an interstate supply.

What happens when goods are sold on board during conveyance?

Place of supply is the location from where the good were taken on board.

Scenario	Location of Supplier	Place of Supply	Nature of Supply	Tax Component(s)
Ram makes an in-flight purchase of headphones, and a power bank from Bhopal to Hyderabad. The airline has registered in Bhopal, and the goods were taken onboard there.	Bhopal, Madhya Pradesh	Bhopal, Madhya Pradesh	Intra-state	CGST+SGST

In this scenario, the actual supply would have happened anywhere in transit between Madhya

Pradesh and Andhra Pradesh. However, since the location of the supplier (the airlines) and the place where the goods were taken aboard being the same, the nature of this supply is intra-state.

What happens in a Bill to - Ship to Scenarios?

A Bill to - Ship to scenario is where the goods are delivered by a supplier to a recipient on the direction of a third person. This third person can be an agent or a seller. The third person is the principal, and is deemed to have received the goods, while the actual transfer may happen between the supplier and the recipient only.

GST is charged at two phases during such a supply. Let us understand this using an example.

Scenario: Ganesh Traders is a dealer in hardware goods, located in Maharashtra. They receive an order from Maruti Traders, located in Karnataka, to supply 100 aluminum ladders, with an instruction to ship the ladders to Prime Hardware, located in Tamil Nadu.

In the example, on the instruction from Maruti Traders, Ganesh Traders ships the aluminum ladders to Prime Hardware located in Tamil Nadu. Here, Maruti Traders is deemed as the third person.

Phase of Supply	Location of Supplier	Place of Supply	Nature of Supply	Tax Component(s)
1: Ganesh Traders bill Maruthi Traders	Maharashtra	Karnataka (Location of the Principal)	Interstate	IGST
2: Maruthi Traders bill Prime Hardwares	Karnataka	Tamil Nadu	Interstate	IGST

5.1.2. Determining Place of Supply of Services

Place of supply of services is the location where the services have been rendered, when the address of the recipient is available. This is most often relevant in a business-to-business scenario. When taxable services are rendered to a registered person or entity within the same state, then the supply is intrastate and will attract CGST and SGST.

Scenario	Location of Supplier	Place of Supply	Nature of Supply	Tax Component(s)
Pankaj agencies in Jaipur, Rajasthan refurbish antique furniture for A1 Crafts in Jodhpur, Rajasthan.	Jaipur, Rajasthan	Jodhpur, Rajasthan	Intra-state	CGST+SGST

Here, the location of the supplier and the place of supply of services are in the same state. Therefore, this supply is intrastate and attracts CGST and SGST.

When taxable services are rendered to a registered person or entity outside the state, then the supply is interstate and will attract IGST.

Phase of Supply	Location of Supplier	Place of Supply	Nature of Supply	Tax Component(s)
Pankaj agencies in Jaipur, Rajasthan refurbish antique furniture for Sri Krishna Arts, in Dwaraka, Gujarat.	Jaipur, Rajasthan	Dwaraka, Gujarat	Interstate	IGST

Here, since the location of the supplier and the place of supply of services are in two different states. Therefore, the supply is interstate.

Supply of Services to a registered person

When services are supplied to registered person, the Place of supply of services will be the place of registered person. This is most often relevant in a business-to-business scenario. When taxable services are rendered to a registered person or entity within the same state, then the supply is intrastate and will attract CGST and SGST.

Phase of Supply	Location of Supplier	Place of Supply	Nature of Supply	Tax Component(s)
Pankaj agencies in Jaipur, Rajasthan refurbish antique furniture for KC Traders, Faridabad. Pankaj agencies have recorded the address of KC Traders.	Jaipur, Rajasthan	Faridabad, Haryana	Interstate	IGST

Here, since the address of the recipient is known, the supply is the same as any interstate supply and would attract IGST.

In the next scenario, let us see what happens when the address of the unregistered person is unknown. This is prevalent in a business-to-customer scenario.

Phase of Supply	Location of Supplier	Place of Supply	Nature of Supply	Tax Component(s)
Pankaj agencies in Jaipur, Rajasthan refurbish antique furniture for Mr. Agarwal in Faridabad. Mr. Agarwal's location is unknown.	Jaipur, Rajasthan	Jaipur, Rajasthan	Intrastate	CGST+SGST

Since Pankaj agencies doesn't have the address of Mr. Agarwal in their records, the place of supply becomes Jaipur, Rajasthan, which is the place of the supplier. Thus, although the services were rendered in Faridabad, the nature of supply becomes intrastate with the place of supply being Rajasthan, which is the location of the supplier.

The rules to determine the place of supply may vary based on specific services or scenarios. Let us discuss how:

Service	Type of Recipient	Scenario	Nature of Supply	Tax Component
Place of Supply : Location where the service is rendered				
Rendered in Immovable property like hotels, lodges, clubs, party halls, etc.	Registered	The Grand Park hotels are registered in Indore, Madhya Pradesh. They are constructing a new resort in Coorg for which they seek the interior designing services of Marvel Designers registered in Indore, Madhya Pradesh	Intrastate	CGST+SGST

When a registered dealer avails accommodation n in an immovable property	Mr. Abraham, a registered dealer from Mumbai stays in The Grand Park Hotel, Indore during his business visit to the place.	Indore, Madhya Pradesh	Intrastate	CGST+SGST

Note: The rules are applicable to supplementary services availed along with services in relation to an immovable property. For example, when along with the lodging, the customers avail food and beverage services or spa services in the immovable property, then the place of supply will be the location of the immovable property.				
Restaurant and Catering	Not Applicable	Pal Enterprises Bengaluru had a 2-day seminar, and they outsourced the catering to Delicacy Services in Bengaluru.	Intrastate	CGST+SGST
Place of Supply: Location where the service is rendered				
Personal grooming, fitness, beauty treatment, health services, including cosmetic and plastic surgery	Not Applicable	Mr. Amit from Mysore takes a weight loss program in Size Zero fitness center, Mysore	Intrastate	SGST+CGST
Place of Supply: Location of the recipient				
Services in relation to training and performance appraisal	Registered person	Sync Systems Pvt. Ltd. registered in Hyderabad got Success Academy, Chennai to run a Leadership and Management workshop for its employees.	Location of Supplier: Chennai. Location of Recipient: Hyderabad. Nature of Supply: Interstate	IGST

Services provided through admission to a cultural, artistic, sporting, scientific, educational or entertainment event or amusement park	Not Applicable	Deepa from Cochin buys tickets for the carnival in Port Blair hosted by the Tourism board in Andaman and Nicobar Islands	Location of the supplier: Port Blair. Location of the Recipient: Cochin (Kerala). Nature of Supply:Intra Union Territory Supply	CGST+UTGST
Services provided through organization of a cultural, artistic, sporting, scientific, educational or entertainment event	Registered person	ABC Technologies, Pune hired Adventure hikes, registered in Warangal, Telangana to organize a trek for the employees to Kalsubai Peak	Location of Supplier: Telangana. Location of Recipient: Maharashtra. Nature of Supply: Interstate	IGST
Place of Supply: Location where the event is held				
Services provided through organization of a cultural, artistic, sporting, scientific, educational or entertainment event	Unregistered Person	Ayaz, a college student and his friends from Tumkur enrolled for a trek with Adventure Hikes to Madhugiri in Tumkur, Karnataka.	Location of Supplier: Karnataka. Location of Recipient: Karnataka. Location where the event is held: Karnataka. Nature of Supply: Intrastate	SGST+CGST

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TIME OF SUPPLY

Point of Taxation (POT) refers to the point in time when tax is required to be paid. This is a mechanism which is used to determine the point in time when the tax liability will arise.

Scenario	Type of Tax	Point of Taxation
Manufacturing of Goods	Central Excise	Incidence of excise duty arises on the manufacture of goods in India, but the liability to pay excise duty arises at the time of removal of the excisable goods from the excise unit. For example, Goods manufactured on 28th April, 2016 and removed from the excise unit for sale on 5th May, 2016. The liability excise will arise on 5th May, 2016.
Rendering of Services	Service Tax	Broadly, the time for payment of tax will be the earliest of (a) date of receipt of payment or (b) date of issue of invoice.
Sale of Goods	VAT/CST	VAT/CST, as the case may be, on intrastate and interstate transactions arises on the sale of goods.

Under GST, the taxable event is 'Supply' of goods and services. The point in time when goods or services are supplied will be determined in terms of 'Time of Supply' provisions.

Let us understand time of supply under two heads:

- Time of Supply of Goods
- Time of Supply of Services

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6.1. TIME OF SUPPLY OF GOODS

6.1.1. Forward Charge on Supply of Goods

Forward Charge is a mechanism by which the supplier has to levy tax and remit the same to the credit of the Central or State Government.

For example, Super Cars Ltd. sold spare parts worth ` 1,00,000/- to Ravindra Automobiles and collected VAT of ` 14,500 at the rate of 14.5 %.

Let us understand 'Time of Supply of Goods' under GST on Forward Charge

The liability of GST (CGST and SGST or IGST, as applicable) will arise as shown below:

Criteria	Nature of Transaction	Tax Components
Location of supplier and place of supply are the same. For example, location of supplier and the place of supply is **Karnataka**.	Intra-state	CGST + SGST or UTGST
Location of supplier and place of supply are two different states For example, location of supplier is Karnataka and the place of supply is Tamil Nadu.	Interstate	IGST

Note: The date on which the payment is made shall be the date on which the payment is entered in the books of accounts of the recipient or the date on which the payment is debited in his bank account, whichever is earlier.

Let us understand this further with examples:

Scenario -1

Date of invoice	Date of Receipt of Payment	Time of Supply of Goods
20th July, 2023	10th August, 2023	20th July, 2023

In the above scenario, the time of supply will be 20th July, 2023. The reason being, the time of supply will be the earliest of date of invoice or receipt of payment. In this case, the date of invoice is earlier than the date of receipt of payment.

Scenario –2

Date of invoice	Date of Receipt of Payment	Time of Supply of Goods
20th July, 2023	10th August, 2023	20th July, 2023

In the above scenario, the time of supply will be 25th August, 2023. The reason being, the time of supply will be the earliest of date of invoice or receipt of payment. In this case, the date of receipt of payment (advance receipt) is earlier than the date of invoice.

Scenario –3

Date of Invoice	Receipt of payment entered in books of account	Receipt of Payment credited to Bank Account	Time of Supply of goods
10th September, 2023	29th August, 2023	3rd September,2023	29th August,2023

In the above scenario, the time of supply will be 29th August, 2023. The reason being, time of supply will be the earliest of date of invoice or receipt of payment. The date of receipt of payment will be the earliest of:

 The date on which the payment is entered in the books of accounts or The date on which the payment is credited to the bank account.

In this case, the date on which the receipt of payment is entered in the books of account is earlier than the date on which payment is credited to the bank account. Hence, the time of supply will be 29th August, 2023.

Scenario –4

Date of Invoice	Receipt of payment entered in books of account	Receipt of Payment credited to Bank Account	Time of Supply of goods
10th September, 2023	5th September, 2023	31st August, 2023	31st August,2023

In the above scenario, the time of supply will be 31st August, 2023. The reason being, time of supply will be the earliest of date of invoice or receipt of payment. In this case, the date on which payment is credited to the bank account is earlier than the date on which payment is entered in the books of account.

Scenario –5

Goods removed for Supply	Receipt of Payment	Time of Supply of Goods
25th August, 2023	5th September, 2023	25th August, 2023

In the above scenario, the date of invoice is not available. Here, the time of supply will be the earliest of last day to issue invoice and receipt of payment. The last date to issue the invoice, in case of supply involving movement of goods, will be at the time of removal of goods. Hence, the time of supply will be 25th August, 2023. This is because the date of removal of goods is earlier than the date of receipt of payment.

6.1.2. Reverse Charge on supply of Goods

In order to ensure that the tax is collected on the sale of goods or services from various unorganized sectors, the government introduced the Reverse Charge Mechanism. Under this, the recipient or buyer of goods or services has to pay the tax to the credit of the Government, unlike in the forward charge, where the supplier is liable to pay the tax. The key change is the shift in the responsibility of paying tax, which has moved from the supplier to the buyer.

Under VAT, on purchases made from unregistered dealers, the recipient (registered dealer) of goods has to pay a tax called Purchase Tax. For example, Ram Traders, a registered dealer located in Karnataka purchase goods from Mr. Shiv Kumar, an unregistered trader. On this purchases, Ram Traders will be liable to pay the Purchase Tax.

Under GST, a similar concept of reverse charge mechanism is being introduced. This is applicable on specified supply of goods and services, which will be notified.

Let us understand time of supply for goods under Reverse Charge Mechanism.

The liability of GST (CGST and SGST or IGST as applicable) will arise as shown below:



Date of Receipt of Goods	The date on which the goods are received by the recipient.
Date of Payment	The date on which payment is made. The earliest of the **date on which the payment is accounted for in the books of accounts of the recipient or the date on which the payment is credited to his bank account.**
30 Days from Date of Invoice	The date immediately following 30 days from the date of issue of invoice by the supplier.

If for any reason the above dates cannot be determined, then the time of supply will be the date of recording the supply in the books of the recipient.

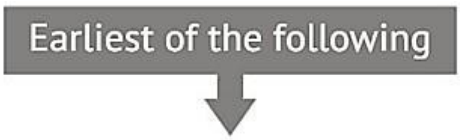
Let us understand time of supply for goods on Reverse Charge with examples.

Date of Receipt of Goods	Date of Invoice	Date of Payment	Time of Supply of goods	Reason
29th July, 2023	5th August, 2023	10th August, 2023	29th July, 2023	The date of receipt of goods, in this case, is earlier than the date of payment and 30 days from the date of invoice. Hence, the time of supply will be 29th July, 2023.
15th August, 2023	25th August, 2023	30th July, 2023	30th July, 2023	The date of payment is earlier than the date of receipt of goods and 30 days from date of invoice. Hence, the time of supply will be 30th July, 2023.
10th August, 2023	1st July, 2023	15th August, 2023	31st July, 2023	In this case, 30 days from date of invoice is earlier than the date of receipt of goods and the date of payment. Hence, the time of supply will be 31st July, 2023.

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6.2. TIME OF SUPPLY OF SERVICES Forward charge on supply of service

The liability of GST (CGST and SGST or IGST, as applicable) will arise as shown below:



Date of invoice	The date on which the supplier issues invoice, if the invoice is issued within the due date (to issue invoice). The last date on which the supplier is required to issue the invoice is 30 days from the date of supply of services. In case of a banking company, the invoice has to be issued within 45 days from the date of supply of services.
Date of Provision of Service	If the invoice is not issued within the time period.
Receipt of payment	The date on which payment is received. The earliest of the **date on which the payment is accounted in the books of accounts or the date on which the payment is credited to his bank account.**

Let us understand this with examples.

Date of Provisions of Service	Date of Invoice	Date of Receipt of Payment	Time of Supply	Explanation
15th October, 2023	20th October, 2023	10th November, 2023	20th October, 2023	In this case, the invoice is issued within the due date and the date of invoice is earlier than the date of receipt of payment. Hence, The time of supply will be 20th October, 2023
1st December, 2023	5th December, 2023	25th November, 2023	25th November, 2023	In this case, the invoice is issued within the due date the date of receipt of payment (advance receipt) is earlier than the date of invoice. Hence, the time of supply will be 25th November, 2023.

1st December, 2023	5th December, 2023	Date of Entry in Books: 20th November, 2023 Date of Payment	20th November, 2023	Invoice is issued within due date, hence, the time of supply will be the earliest of date of invoice or receipt of payment. The date of receipt of payment will be the earliest of either:
		credited to Bank: 25th November, 2023		• The date on which the payment is entered in the books of accounts or • The date on which the payment is credited to the bank account. In this case, the date on which the receipt of payment is entered in the books of account is earlier than the date on which payment is credited to the bank account.
1st December, 2023	5th December, 2023	Date of Entry in Books: 15th November, 2023 Date of Payment credited to Bank: 10th November, 2023	10th November, 2023	Invoice is issued within the due date; hence the time of supply will be the earliest of date of invoice or receipt of payment. The date of receipt of payment will be the earliest of either: • The date on which the payment is entered in the books of accounts or • The date on which the payment is credited to the bank account. In this case, the date on which the payment is credited to the bank account is earlier than the date on which payment is entered in the books of account.

1st November, 2023	5th December, 2023	10th December, 2023	1st November, 2023	In this case, invoice is not issued within due date. Hence, the time of supply will be the earliest of date of provision of service and receipt of payment. The time of supply will be 1st November, 2023.

Reverse Charge on supply of service

The liability of GST (CGST and SGST or IGST as applicable) will be the date of payment. This is the earliest date of payment entered in the books of accounts or the date on which payment is credited to the bank accounts.

If the payment is not made within 60 days from the date of invoice, then the time of supply will be the date immediately following the expiry of 60 days.

If for any reason, the above dates cannot be determined, then the time of supply will be the date of recording the supply in the books of the recipient.

Let us understand Time of Supply for Services on Reverse Charge with examples.

Date of Invoice	Date of Payment	Time of Supply of services	Explanation
20th July, 2023	10th August, 2023	10th August, 2023	The date of payment is earlier than 60 days from date of invoice. Hence time of supply will be 10th August, 2023.
1st July, 2023	10th September, 2023	30th August, 2023	In this case, 60 days from date of invoice is earlier than the date of payment. Hence time of supply will be 30th August, 2023.

VALUE OF SUPPLY

The taxable value of all the goods and services consumed in an economy is arrived at based on various metrics. Pre-GST, this value was calculated in different ways, as shown in the table below:

Tax	Value of goods/services
Excise	Based on the transaction value or quantity of goods or MRP
VAT	Based on the sale value
Service Tax	Based on the taxable value of the service rendered

Under GST, the value of taxable supply of goods and services will be the transaction value. Transaction value refers to the price actually paid or payable for the supply of goods and services.

Let us understand this with an example

A-1 Spare Ltd sells spare parts to Rev Automobiles for `6,000. The MRP of the spare parts is ` 10,000. The invoice that is issued to Rev Automobiles is illustrated below:

Invoice				
Description of Goods	Qty	Rate	Per	Amount(`)
Spare Parts	1	6,000	No.	6,000
CGST @ 9%				540
SGST @ 9%				540
Total	**1**			**7,080**

As per the above example, the transaction value is `6,000 on which a GST of 18% is charged.

7.1. EFFECT OF ADDITIONAL CHARGES AND EXPENSES

Apart from the product value, there are various other additional charges like packing charges, freight charges etc. and discounts which form part of an invoice. The table below will provide an overview on treatment of additional charges and discount.

Effect of various charges/expenses of supply on transaction value

The effect of additional charges on transaction value

Charges/expenses related to supply	**Effect on transaction value**
Incidental expenses such as commission and packing	Included in transaction value
Interest/late fee/penalty charged by supplier for delayed payment	Included in transaction value
Subsidies excluding those provided by the Central and State governments	Included in transaction value

Any tax other than GST	Included in transaction value
Any amount payable by supplier, but incurred by receiver	Included in transaction value

The effect of discount on transaction value

Type of discount	**Effect on transaction value**
If the discount is given before or at the time of supply, and is recorded in the invoice	Can be claimed as deduction from transaction value
If the discount is given after supply, but agreed upon before or at the time of supply, and can be specifically linked to relevant invoices	Can be claimed as deduction from transaction value
If the discount is given after supply, and not known at the time of supply	Cannot be claimed as deduction from transaction value

Let us understand the treatment of additional charges and expenses in invoice with an example

A-1 Spare Ltd sells a spare parts worth `4,00,000 to Rev Automobiles.

- They incur packing charges of `5,000 on the car
- They provide a discount of 1% on the price, as part of Diwali scheme
- A-1 Spare Ltd agree to provide a further discount of 0.5% if Ravindra Automobiles makes payment by 31st of the month via net banking. Rev Automobiles makes the payment by 31st of the month using net banking.

The invoice issued to Ravindra Automobiles, under GST, will look like this:

Invoice					
Sl. No	Description of Goods	Qty	Rate	Per	Amount(`)
1.	Spare Parts Packing Charges Discount@1% CGST @ 9% SGST @ 9%	1	4,00,000	No.	4,00,000 5,000 -4,000 36,090 36,090
	Total	**1**			**4,73,180**

In the invoice,

- Packing charge of `5,000 is included in the transaction value.

- Packing charges or any incidental expenses charged before or at the time of supply of goods or services must be included in the transaction value.
- Discount of 1% is deducted from the transaction value.
- Discount given before or at the time of supply, and which is recorded in the invoice, can be deducted from the transaction value.
- Discount of 0.5% is not deducted in the invoice. As discount of 0.5% is given after the supply, it will not be shown in the invoice. However, since the discount was known at the time of supply, and can be linked to this specific invoice, the discount amount can be reduced from the transaction value. For this, Super Cars Ltd will issue a credit note to Ravindra Automobiles for `2,360 (0.5% of `4,00,000 = `2,000+ GST@ 18% on `2,000 = `360), and the same must be linked to the relevant tax invoice. Discount given after supply but agreed upon before or at the time of supply and can be specifically linked to relevant invoices, can be deducted from the transaction value.

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INVOICING

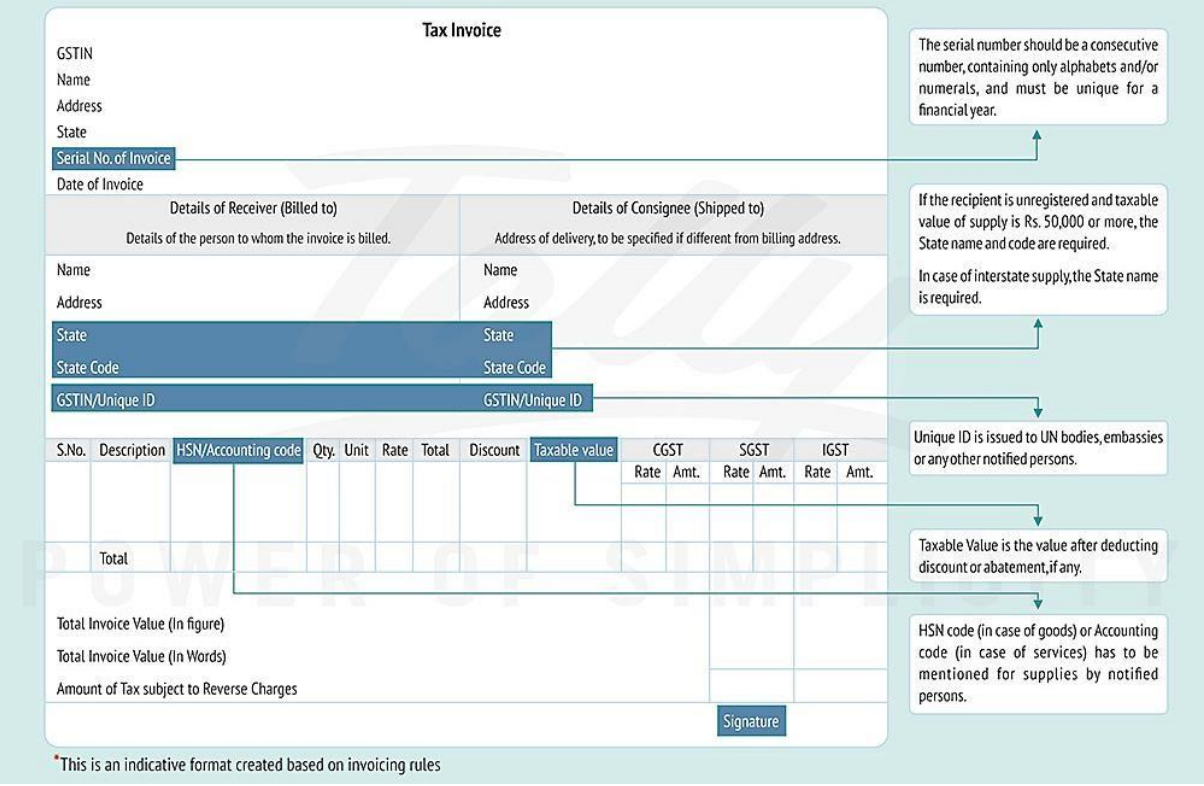
Invoicing is an important aspect of tax compliance for every business. It is necessary to be aware of the rules of invoicing under GST. Let us understand these in detail. Before GST, two types of invoices were issued:

1. Tax Invoice – This is issued to registered dealers, and can be used to claim input tax credit.
2. Retail or Commercial Invoice – This is issued to an unregistered dealer or retail customer, and no tax credit can be claimed on this invoice.

In the GST regime too, two types of invoices will be issued:

1. Tax invoice
2. Bill of Supply When a registered taxable person supplies taxable goods or services, a tax invoice is issued. Based on the rules of the details required in a tax invoice, a sample tax invoice is shown below:

Sample of a tax invoice under GST



8.1.1. Timelines to issue tax invoice

Supply of goods

The tax invoice must be issued before or at the time of:

- Removal of goods, where supply involves movement of goods.

For example, when Super Cars Ltd, a car manufacturer, supplies cars to its dealer Ravindra Automobiles, the invoice must be issued at the time of removal of the cars from the premises of Super Cars Ltd. This is because the supply involves movement of the cars to the premises of Ravindra Automobiles.

- Delivery of goods to the recipient, where supply does not require movement of goods.

For example, Super Cars Ltd purchases a generator set, which will be assembled and installed at the factory premises by the supplier. Here, since the supply does not require movement of the generator set, the invoice must be issued at the time when the generator set is made available to Super Cars Ltd.

Supply of services

The tax invoice must be issued within 30 days from the date of supply of the service. Where the supplier is a bank or any financial institution, the invoice must be issued within 45 days of the supply of service.

8.1.2. Copies of Invoice

Supply of goods

For supply of goods, three copies of the invoice are required – Original, Duplicate, and Triplicate.

Original Invoice: The original invoice is issued to the receiver, and is marked as 'Original for recipient'.

Duplicate Copy: The duplicate copy is issued to the transporter, and is marked as 'Duplicate for transporter'. This is not required if the supplier has obtained an invoice reference number. The invoice reference number is given to a supplier when he uploads a tax invoice issued by him in the GST portal. It is valid for 30 days from the date of upload of invoice.

Triplicate Copy: This copy is retained by the supplier, and is marked as 'Triplicate for supplier'.

Supply of Services

For supply of services, two copies of the invoice are required:

- Original Invoice: The original copy of the invoice is to be given to the receiver, and is marked as 'Original for recipient'.

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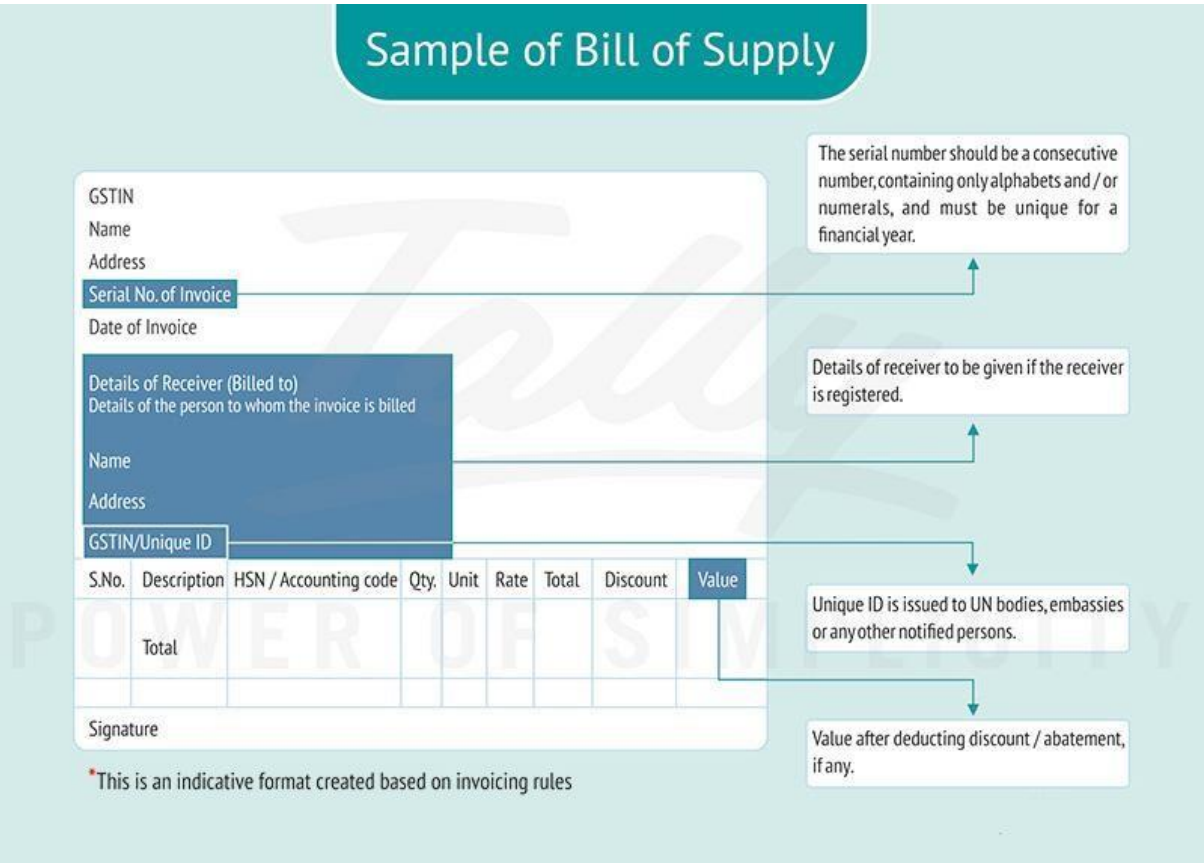
- Duplicate Copy: The duplicate copy is for the supplier, and is marked as 'Duplicate for supplier'.

8.2. BILL OF SUPPLY

Bill of Supply is to be issued by a registered supplier in the following cases:

- Supply of exempted goods or services
- Supplier is paying tax under the composition scheme

Based on the rules of details required in a Bill of supply, a sample Bill of Supply is shown below:



Bill of supply need not be issued when the value of goods or services supplied is less than ` 100, unless the receiver insists for the bill. However, a consolidated bill of supply should be prepared at the end of the business day for all such supplies for which the bill of supply was not issued.

8.3. CREDIT NOTE, DEBIT NOTE AND SUPPLEMENTARY INVOICE

To revise the taxable value or GST charged in an invoice, a debit notes or supplementary invoice or credit note must be issued by the supplier.

Debit Note/Supplementary Invoice- These are to be issued by a supplier to record increase in taxable value and/or the GST charged in the original invoice.

Credit Note- These are to be issued by a supplier to record decrease in taxable value and/or the GST charged in the original invoice

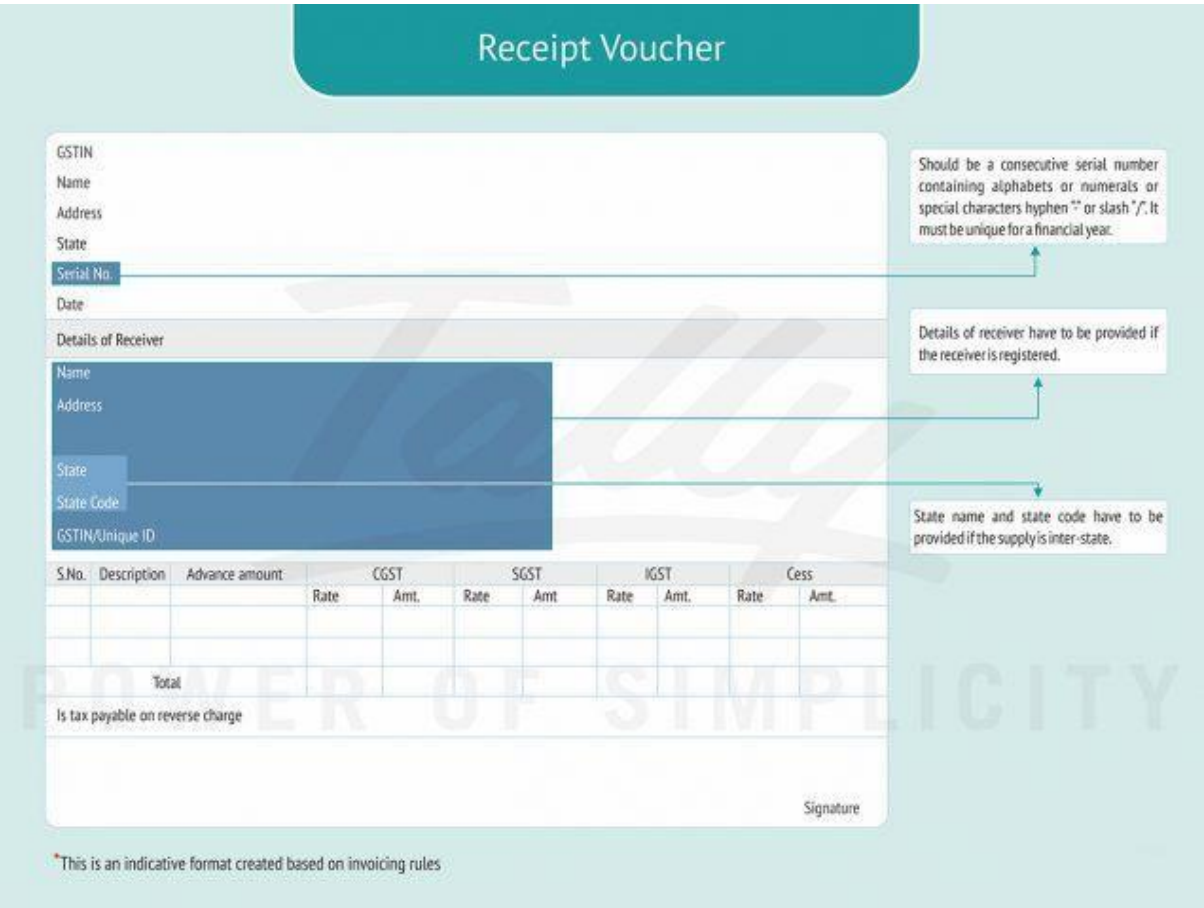
Credit note must be issued on or before 30th September following the end of the financial year in which the supply was made OR the date of filing of the relevant annual return, whichever is earlier.

Mandatory components:

- The following are mandatory in debit notes, supplementary invoices and credit notes:
- Nature of the document must be indicated prominently, such as 'revised invoice' or 'supplementary invoice
- Name, address, and GSTIN of the supplier
- A consecutive serial number containing only alphabets and/or numerals, unique for a financial year
- A consecutive serial number containing only alphabets and/or numerals, unique for a financial year
- If the recipient is registered - Name, address and GSTIN/Unique ID number of the recipient
- If the recipient is unregistered- Name, address of the recipient, and address of delivery, with the state name and code
- Serial number and date of the original tax invoice or bill of supply
- Taxable value of the goods or services, rate of tax and the amount of tax credited or debited to the recipient
- Signature or digital signature of the supplier or his authorized representative

8.4. RECEIPT VOUCHER

When a registered dealer receives an advance payment for a supply, the dealer should issue a receipt voucher for the advance paid by the recipient. A sample receipt voucher is shown below:



After a dealer issues a receipt voucher, if the supply does not take place, the dealer can issue a refund voucher to the recipient against the advance received.

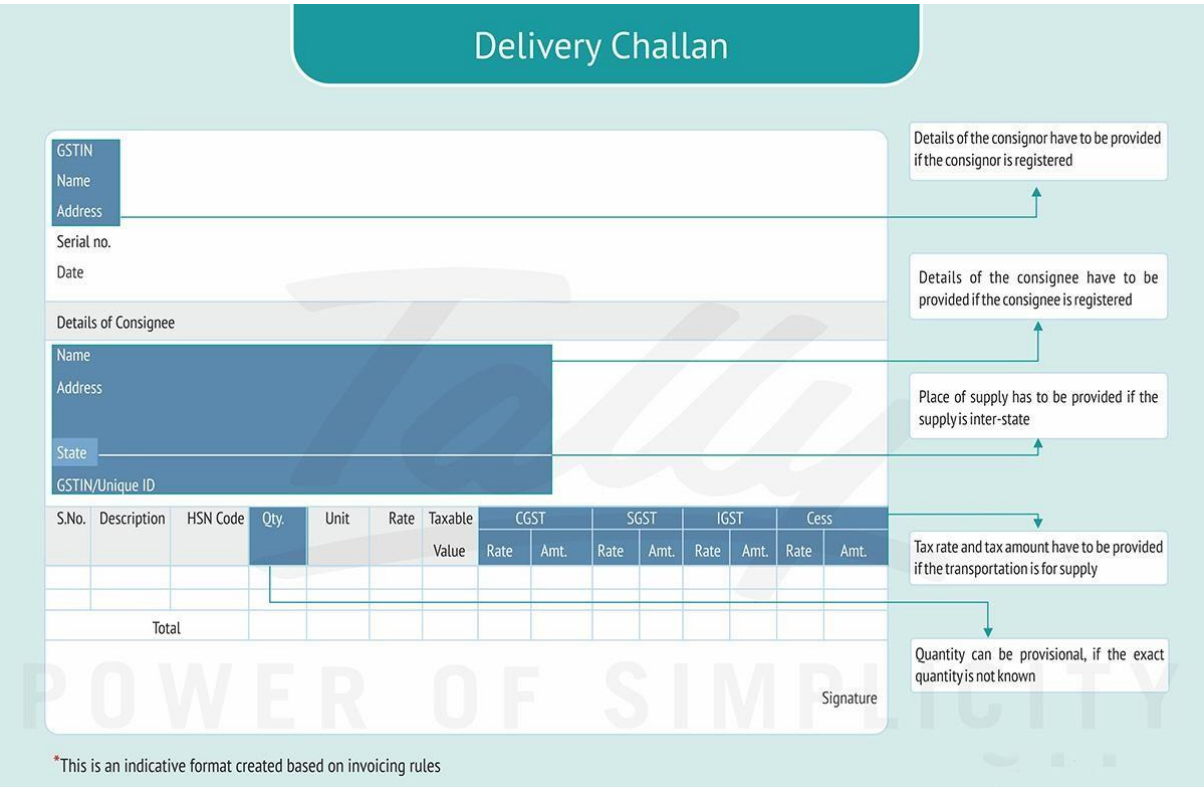
8.5. TRANSPORTATION OF GOODS WITHOUT ISSUE OF INVOICE

Transportation of goods without issue of an invoice can happen in the following cases:

a. Supply of liquid gas, where the quantity at the time of removal from the place of business of the supplier is not known
b. Transportation of goods for job work
c. Transportation of goods for reasons other than supply
d. Any other notified supplies

In these cases, the consignor can issue a delivery challan in place of an invoice at the time of removal of goods for transportation.

A sample delivery challan is shown below:



8.5.1. Copies of the Delivery Challan

Three copies of the delivery challan must be prepared, as detailed below:

Original copy - The original copy is issued to the consignee, and is marked as 'Original for consignee'.

Duplicate copy - The duplicate copy is issued to the transporter, and is marked as 'Duplicate for transporter'.

Triplicate copy - The triplicate copy is retained by the consigner, and is marked as 'Triplicate for consigner'.

Note:

1. When goods are being transported with a delivery challan in place of an invoice, the same should be declared in Waybill.
2. When goods are being transported for supply to the recipient, but the tax invoice could not be issued at the time of removal of the goods, the supplier should issue a tax invoice after the delivery of the goods.

INPUT CREDIT MECHANISM

One of the fundamental features of GST is the seamless flow of input credit across the chain (from the manufacturer to the consumer) and across the country.

Let us understand the various conditions that were applicable to avail input tax credit.

Type of input tax credit	Conditions for availing Input Tax Credit (ITC)
VAT	As a VAT dealer, you can avail input VAT credit on goods purchased in the course of business, for re-sale or for manufacture of goods, subject to conditions. Only purchases from registered dealers within the state are eligible for ITC.
CENVAT/Service Tax	As a manufacturer, you can avail CENVAT credit on all inputs, used directly or indirectly, in relation to the manufacture of final products. You can also avail ITC on the service tax paid on any input service.If you are a service provider providing any taxable service, you can avail input tax credit on the service tax paid on any input service.

Under the GST regime, input tax credit can be availed by every registered taxable person on all the inputs used or intended to be used for the furtherance of business.

Let us understand the conditions applicable for availing input tax credit in specific scenarios, and the circumstances in which input tax credit is only partly allowed, or completely not allowed.

9.1. ENTITLEMENT OF INPUT TAX CREDIT

Scenario	Input Tax Eligibility
Applying for new registration under GST - On becoming liable to register.Condition:1. Applied for registration within 30 days from the date of being deemed as liable to register2. Registration Granted	Entitled to avail input tax credit on the inputs in stock, inputs in semi-finished state or finished goods from the date on which you become liable to pay tax.
Voluntarily apply for registration:	You can avail input tax credit on inputs in stock, inputs in semi-finished state, or finished goods in stock on the day before the date of grant of registration.

A registered dealer ceased to pay tax under the composition levy	You can avail input tax credit on inputs in stock, inputs in semi-finished state, finished goods and capital goods in stock on the day before the date from when you become liable to pay tax
Sale/merger/demerger/amalgamation/lease/transfer of the business	The unutilized input tax credit can be transferred to the sold, merged, demerged, amalgamated, leased, or transferred business.
Goods are received in lots or instalments	Input tax credit can be claimed only upon the receipt of the last lot or instalment.
When an exempt good or service becomes taxable	You can avail input tax credit on inputs in stock, inputs in semi-finished state, or finished goods in stock, and capital goods exclusively used for exempt supply.

9.2. CIRCUMSTANCES IN WHICH INPUT TAX CREDIT IS PARTLY ALLOWED

When goods and/or services are used partly for business and partly for other purposes, input tax credit is allowed only on the portion used for business.

For example, Ravindra Automobiles purchases spare parts from Super Cars Pvt Ltd for `10,000. Out of the spare parts purchased, spare parts worth `4,000 were used for repairing the owner's car. The remaining spare parts were sold to customers. In this case, input tax credit can be availed only on the portion used for business, i.e. `6,000.

Total Purchase (`10,000)	**Portion Attributable to Business?**	**Eligibility to Claim Input Credit**
`4,000/- worth purchases used to repair owners car	No	Ineligible
`6,000/- worth purchases sold to customers	Yes	Eligible
In this scenario, Ravindra Automobiles is eligible to claim input credit on `6000/- from the total purchase of `10,000/-		

When goods and/or services are used partly for taxable supplies and partly for exempt supplies, input tax credit is allowed only on the portion used for taxable supplies and zero rated supplies. Input credit is not allowed on goods and/or services used for exempt supplies and supplies where the receiver pays tax on reverse charge basis.

For example: Ravindra Automobiles purchases spare parts from Super Cars Pvt Ltd for `10,000. Out of the spare parts purchased, spare parts worth `4,000 were supplied to a foreign embassy (which is notified as an exempt supply). The remaining spare parts were sold to customers. In this case, input tax credit can be availed only to the extent of taxable supplies, i.e. `6,000.

Total Purchase (`10,000)	Tax Applicability	Eligibility to Claim Input Credit
`4,000/- worth purchases used to repair owners car	Exempt purchase	Ineligible
`6,000/- worth purchases sold to customers	Taxable	Eligible
In this scenario, Ravindra Automobiles is eligible to claim input credit on ` 6000/- from the total purchase of `10,000/-		

9.3. NON ENTITLEMENT OF INPUT TAX CREDIT

You cannot claim input tax credit in the following scenarios:

- If the annual return of the period to which the invoice pertains has been filed, or if the return for September of the next financial year has been filed, whichever is earlier
- On the goods or services on which tax is paid under the composition scheme
- If the recipient of the service does not make payment for the supply of services along with the tax payable, within 3 months from the date of invoice. The input tax credit availed will be added to the recipient's output tax liability along with interest
- On goods or services used for personal consumption
- On goods lost, stolen, destroyed, written off or disposed as gift or free samples
- On input tax credit wrongly availed
- On motor vehicles and other conveyance. Input tax credit is not allowed on motor vehicles and other conveyance unless they are:

  ○ Further supplied or ○ Used for transport of passengers or goods or ○ Used for imparting training on driving, flying, or navigating such vehicles or conveyances
- **For example: Super Cars Pvt Ltd purchased a Tempo Traveller for the purpose of transporting its employees within the factory premises. Super Cars Pvt Ltd cannot avail input credit on the Tempo Traveller as it does not satisfy the above conditions. In**

contrast, Mukesh Travels, a tour operator, purchased a Tempo Traveller for the purpose of transporting tourists. Mukesh Travels can avail input credit on the Tempo Traveller, as it is used for transporting passengers – a business activity for Mukesh Travels.

- On food and beverages, outdoor catering, beauty treatment, health services, cosmetic and plastic surgery, except where they have been used for making outward supply of the same category of goods or services. For example: Super Cars Pvt Ltd took the services of Rakesh Caterers, a caterer in Bangalore, for their Diwali celebration. Here, Super Cars Pvt Ltd cannot avail input tax credit on the catering service received, as they are not supplying the service any further. In contrast, Rakesh Caterers purchase cold drinks from Coca Cola India and supply them to Super Cars Ltd for the Diwali celebration. In this case, Rakesh Caterers can avail input tax credit on the cold drinks purchased, as they have been further supplied to Super Cars Pvt Ltd.
- On membership of clubs, health and fitness Centre's
- On rent-a-cab, life insurance, health insurance, except notified services which are obligatory to be provided to employees
- On travel benefits to employees on vacation, such as leave or home travel concession
- If depreciation is claimed on the tax component of the cost of capital goods under the provisions of the Income Tax Act, 1961, input tax credit shall not be allowed on the tax component.

9.4. DETERMINING THE ELIGIBLE INPUT TAX CREDIT

In the above sections, we have understand the various scenarios related to entailment of input tax credit, partial allowance of ITC and negative list of goods and service for which ITC is not allowed.

Let us understand how business will determine the eligible input tax credit when they have mixed type of inward supplies discussed in the above sections. We will understand in detail with an example

The following are details of inward supplies of Ravindra Automobile along with details of usage.

SL.No	Supplier	Product/Services	Value	GST	Remarks
1	Super Cars Pvt Ltd	Spare Parts	1,00,000	18,000	Sold as taxable supplies
2	Super Cars Pvt Ltd	Spare Parts	10,000	1,800	Used for personal purpose
3	Super Cars Pvt Ltd	Spare Parts	10,000	1,800	Used for personal purpose

4	Rakesh Caterers	catering service	50,000	9,000	Service availed for their Diwali celebration in office

In determining the eligible ITC, Ravindra Automobile should reduce the ITC on inward supplies intended to be used exclusively for the purpose of non-business, effecting exempt supply and covered under negative list from the total credit and remaining is the eligible credit.

Particulars		**Amount(`)**
Total Input Tax Credit		30,600
Less:		
Used for Non-Business Purpose	1,800	
Exempt Supply	1,800	
Negative List (Catering Service)	9,000	12,600
Eligible ITC of Ravindra Automobiles		**18,000**

9.5. INPUT TAX CREDIT SET OFF

On every transaction within a state, a component of Central GST (CGST) and State GST (SGST) will be applicable. Integrated GST (IGST) is for interstate transactions. A registered dealer's liability to pay can be set off against the input tax credit that he/she is entitled to avail. Let us understand how to set off the input credit against each of these components in the order as prescribed by the GST Law.

Input Tax Credit	Set off Against Liability
CGST	CGST and IGST (in that order)
SGST	SGST and IGST (in that order)
UTGST	UTGST and IGST (in that order)
IGST	IGST, CGST, SGST (in that order)

EXAMPLE-I – HOW CAN CGST AND SGST ITC BE USED?

Super Cars Ltd is a car manufacturer located in Karnataka. The details of transactions effected by Super Cars Ltd are furnished below, along with the tax component:

Party Name	Destination State	Transaction Type	Product	Input Credit		Tax Liability	
				CGST	SGST	CGST	SGST
Ratna Steels	Karnataka	Purchase (Inward Supply)	Steel	1,20,000	1,20,000	—	—
Ravindra Automobiles	Karnataka	Sale (Outward Supply)	Car	—	—	36,000	36,000
Ravindra Automobiles	Karnataka	Sale (Outward Supply)	Spare parts	—	—	90,000	90,000

At the end of the month, Super Cars Ltd sets off the available input credit against the tax liability.

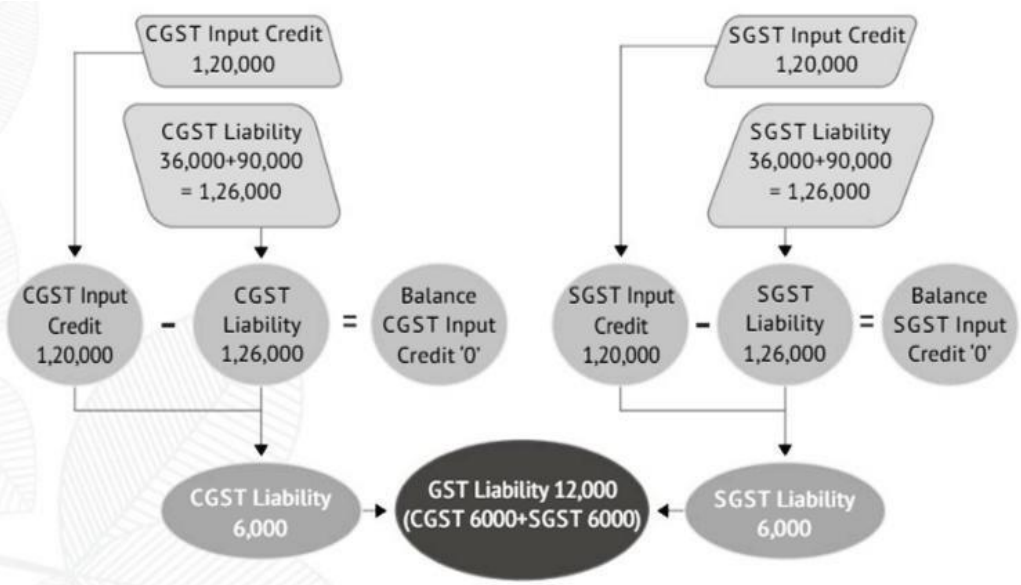


Illustration 1

As shown in Illustration 1, CGST Input and SGST Input can be utilized as below:

Utilizing CGST Input

ITC on CGST can be utilized for CGST liability first and then IGST.

CGST Liability	CGST Input Available	Set Off	Balance
1,26,000 (36,000+90,000)	1,20,000	1,26,000 – 1,20,000 = 6,000	6,000

Utilizing SGST Input

ITC on SGST can be utilized for SGST liability first and then IGST.

SGST Liability	SGST Input Available	Set Off	Balance
1,26,000 (36,000+90,000)	1,20,000	1,26,000 – 1,20,000 = 6,000	6,000

Total tax liability of Super Cars after Set Off = 6,000 + 6,000 = 12,000.Any input credit balance of CGST, after setting off tax liability towards CGST, cannot be set off against SGST. The balance of ITC under CGST (post set off of CGST liability) will be carried over to the next period. This is true in the case of SGST also.

This means the tax liability of 12,000 will be carried forward to the next period.

EXAMPLE-2 – HOW CAN IGST ITC BE USED?

At the end of the month, Super Cars Ltd utilized the IGST input credit to set off tax liabilities.

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Party Name	Destination State	Transaction Type	Product	Input Credit			Tax Liability		
				CGST	SGST	IGST	CGST	SGST	IGST
Shine Aluminium Industries Ltd.	Tamil Nadu	Purchase (Inward Supply)	Aluminium Bars	–	–	30,000	–	–	–
Lakshmi Rubber Industries Ltd.	Tamil Nadu	Purchase (Inward Supply)	Tyres	–	–	10,000	–	–	–
A-1 Spares	Maharashtra	Sale (Outward Supply)	Spare Parts	–	–	–	–	–	12,000
Johnson Auto Parts	Karnataka	Sale (Outward Supply)	Spare Parts	–	–	–	24,000	24,000	–

Utilising IGST Input to Set Off IGST Liability

Input credit SGST can be utilised for IGST liability first.

IGST Liability	IGST Input Available	Set Off	Balance
12000	30,000+10,000	40,000 – 12,000	28,000 (IGST Input)

Utilising IGST to Set Off CGST Liability

The remaining input credit available is then set off against the CGST liability.

SGST Liability	IGST Input Available	Set Off	Balance
12000	30,000+10,000	40,000 – 12,000	28,000 (SGST Input)

After utilizing the balance IGST input available, the SGST is 20,000.

EXAMPLE 3: CGST ITC CANNOT BE USED FOR SGST LIABILITY.

Let us consider another scenario of Super Cars Ltd to illustrate the non-utilization of CGST ITC against SGST liability.

Super Cars had a carried forward balance of CGST input credit `15,000.The details of Super Cars Ltd.'s outward supply during the month are furnished below:

Party Name	Destination State	Transaction Type	Product	Input Credit		Tax Liability	
				CGST	SGST	CGST	SGST
Johnson Auto Parts	Karnataka	Sale (Outward Supply)	Spare Parts	--	--	11,000	11,000

CGST Liability	CGST Input Carried Forward	Set Off	Balance
11,000	15,000	15,000 - 11,000	5,000 (CGST Input)

Although CGST input of `5000 is available, as prescribed by the law, the excess CGST input credit for the period cannot be set off against the SGST liability of current period.

The SGST liability for the month remains 11,000.

Note: The Set-off mechanism for UTGST is similar to SGST discussed in all above illustrations.

9.6. INPUT TAX CREDIT CLAIM

Let us now discuss about various conditions laid down by the GST law to avail input credit on the supply of goods or services. All of the following conditions need to be satisfied to avail input credit:

- The dealer should be in possession of the Tax Invoice/Debit or Credit Note/Supplementary Invoice issued by a supplier registered under the GST Act.
- The said goods/services have been received.
- Returns (Form GSTR-3) have been filed.
- The tax charged has been paid to the government by the supplier.

What do these conditions imply?

Every registered taxable person has to furnish outward supply details in Form GSTR-1 (GST Returns-1) by the 10th of the subsequent month. On the 11th, the visibility of inward supplies is made available to the recipient in the auto-populated GSTR-2A. The period from 11th to 15th will allow for any corrections (additions, modifications and deletion) in Form GSTR-2A and submission in Form GSTR-2 by the 15th of the subsequent month. Based on Form GSTR2, the input credit will be credited to the recipient's electronic credit ledger on a provisional basis.

The corrections (addition, modification and deletion) by the recipient in Form GSTR-2 will be made available to the supplier in Form GSTR-1A. The supplier has to accept or reject the adjustments made by the recipient. The Form GSTR-1 will be amended according to the extent of the correction accepted by supplier.

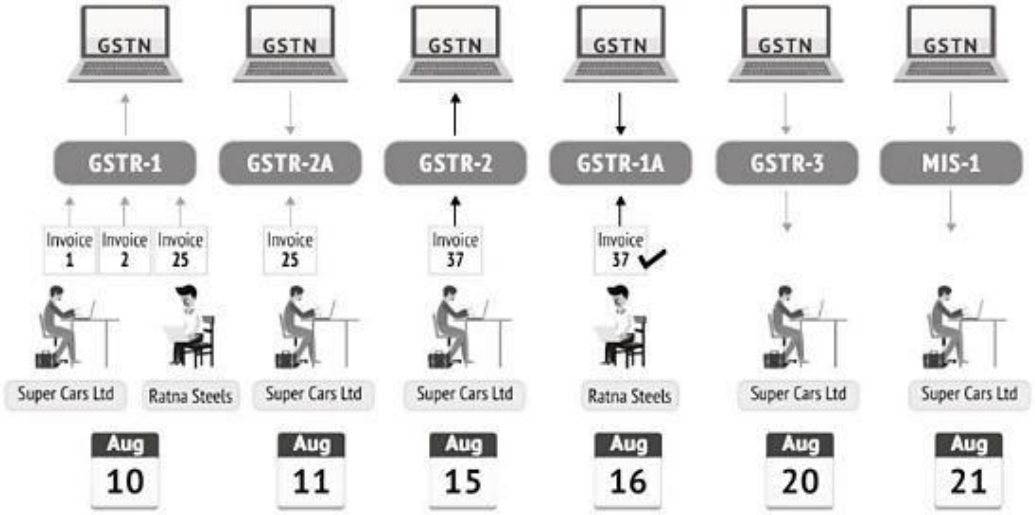
On 20th, the auto-populated return GSTR-3 will be available for submission along with the payment. After the due date of filing the monthly return Form GSTR-3, the inward supplies will be matched with the outward supplies furnished by supplier, and then the final acceptance of input tax credit will be communicated in Form GST MIS-1.

Also, the mismatch in input tax credit on account of excess claims or duplication claims will be communicated in Form GST MIS-1. Discrepancies not ratified will be added as output tax liability, along with interest. However, within the prescribed time, if it is ratified, the recipient will be eligible to reduce this output tax liability. Let us understand this with an example.

Super Cars Ltd is a car manufacturer located in Karnataka. The details of the transactions made by Super Cars Ltd are furnished below, along with the tax component

Inward Supplies		
Invoice No.	Supplier Name	GST
25	Ratna Steels	70,000
37	Ratna Steels	30,000

Outward Supplies		
Invoice No.	Customer Name	GST
1	Ravindra Automobiles	60,000
2	Ravindra Automobiles	40,000



As illustrated above,

1. Super Cars Ltd has made inward supplies from Ratna Steels via Invoice No.25 and 37. During the month, they have also made outward supplies to Ravindra Automobiles via Invoice No 1 and 2.
2. On 10th August, Super Cars Ltd and Ratna Steels furnish outward supply through Form GSTR-1 Return.
3. If you observe the illustration, Ratna Steels has not uploaded the Invoice No. 7
4. On 11th August, Super Cars Ltd receives auto populated Form GSTR-2A. This provides the visibility of their inward supplies based on the outward supplies furnished by the supplier through Form GSTR-1.

5. From 11th to 15th August, Super Cars Ltd reconciles the bills shown on Form GSTR-2A with its books. During verification, Super Cars Ltd finds that Invoice No.37 is not reflecting in Form GSTR-2A.
6. On 15th August, Super Cars Ltd uploads the missed Invoice No.37 in Form GSTR-2 and submits.
7. Based on Form GSTR-2, an ITC of `1, 00,000 is credited to Super Cars Ltd on a provisional basis.
8. On 16th August the addition of Invoice No.37 done by Super Cars Ltd is made available to Ratna Steels in Form GSTR-1A. Ratna Steels verifies Invoice No.26 and accepts the bill.
9. On 20th August, the auto populated Form GSTR-3 (Monthly Return) is made available to Super Cars Ltd and Ratna Steels for submission along with tax payment.
10. On 21st August the final acceptance of `1,00,000 is communicated in Form GST MIS-1.

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E-WAY BILL

What is a way bill?

When goods are shipped from one place to another, a physical document declaring the details of the consignment is provided by the carrier. It has details like the name of the consignor and the consignee, the origin of the consignment, the destination, the route by which the consignment will be transported, the mode of transport, and the transportation charges.

Today, various state governments have devised their own system to track the movement of goods within the state and outside the state. For example, some states have necessitated the registered dealer to declare the details of the goods based on the consignment value or as designated/notified goods when they are transported. Way bill is one such documents used to track the inter and intrastate movement of goods to have better statutory control.

Way bill will be accompanied by the relevant declaration forms in interstate transactions. For example, F Form in the case of interstate branch transfers. E-Way Bills in GSTE-way bill stands for electronic way bill. E-way bills will be generated from GSTN. On generating an e-way bill, a unique e-way bill number (EBN) is assigned, and this can be used by the supplier, recipient, and the transporter.

What Calls for e-Way Bill Generation?

E-way bill will be generated when there is movement of goods owing to:

- Supply (sale, transfer or exchange of goods)
- For reasons other than a supply (for example, return of goods)
  Inward supply from an unregistered person.

E-way bill has to be generated only on the movement of goods of value more than ` 50,000/- to a registered person, or from a registered person. However, the registered person or the transporter can choose to generate an e-way bill for movement of goods lesser in value than ` 50,000/-.

What Happens when the Supplier is Unregistered?

When goods are supplied by an unregistered dealer to a registered dealer, and the goods are worth more than ` 50,000/-, generating the e-way bill is the registered dealer's responsibility, although he is the recipient. The details of each form are listed below along with details of applicability and periodicity

Let us discuss some scenarios to understand the applicability of e-way bill further:

Scenario	Who Generates e-way bill	Form	Details to be Filled
Goods are transported by a registered person, either acting as a consignee or consignor in his own vehicle or hired	Supplier	Form GST INS-1	Details of the goods in Part A Details of the transporter in Part B.
When the goods are handed over to a transporter, the eway bill should be generated by the transporter,	Transporter	Form GST INS-1	Details of the goods in Part A Details of the transporter in Part B.
When the supplier is unregistered(inward supplies)	Either the transporter or the recipient	Form GST INS-1	Details of the goods in Part A Details of the transporter in Part B
When multiple consignments are transported in one vehicle	Transporter	Form GST INS02 which is a consolidated e-way bill	The serial number of e-way bills of each consignment
When goods are transferred from one vehicle to another vehicle in the course of transit	Transporter (before transferring the goods to another vehicle and initiating any such movement	Form GST INS-1	The details of the mode of transport

Process of Generating e-Way Bill

Wishing Stone and Co. located in Mysore, Karnataka have their supply to be sent to Parimal Traders, Mumbai. They chose Vahana Transports to move the supplies from Mysore to Mumbai. Let us understand the sequence of events in the generation and use of e-way bill.

1. Wishing Stone and Co. handover the goods to Vahana Transports for delivering it to Parimal Traders.
2. Wishing Stone declares the details of the goods in Part A and transporter details in Part B of Form GST- INS 01.
3. Based on the details furnished, Vahana Transports will generate the e-way bill.
4. A unique e-way bill number will be sent to Wishing Stone and Co., Vahana Transports, and Parimal Traders.
5. The details of the e-way bill will be sent to Parimal Traders for acceptance.

Validity of the E-way Bill

The validity period will be counted from the time of generation of the e-way bill, and the distance.

Distance	Validity Period
Less than 100 km	1 Day
100 km or more but less than 300 km	3 Days
300 km or more but less than 500 km	5 Days
500 km or more but less than 1000 km	10 Days
1000 km or more	15 Days

However, the validity period of the e-way bill may be extended by the commissioner for certain categories of goods, as specified in the notification issued in this regard.

Documents to be Carried by the Transporter

The transporter or the person in charge of a conveyance should carry the following documents:

- The invoice or bill of supply or delivery challan, and
- A physical copy of the e-way bill or the e-way bill number.

How are the Documents Verified?

At the place of verification, the officers may stop any vehicle and check the e-way bill or the e-way bill number in physical form. Alternatively, the transporters might choose to device Radio Frequency Identification Device (RFID), fixed to the vehicle, and the e-way bill is mapped to the device.

On the ground of suspicion of tax evasion, a physical verification of the vehicle can be carried out by an officer after obtaining necessary approval from the commissioner or an officer authorized on his behalf. If the physical verification of vehicle is done at one place –within the state or in any other state, no further physical verification will be carried out again during the transit, unless specific information of tax evasion is made available subsequently.

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Forms during Inspection

Form	Details
GST INS-03 (Part A)	After every inspection, the details of goods must be submitted within 24 hours of inspection by the officer
GST INS-03 (Part B)	The final report must be submitted within 3 days of inspection in this form by the officer
GST INS 04	If the vehicle is detained for more than 30 minutes, the transporter can complain by uploading the details in this format.

With GST, all the existing state-wise documentation required for movement of goods will be eliminated and the proposed e-way bill will be made common across the nation. Also, it is expected that the number to check-posts across state borders and national highways will be scaled down. This may result in ease of movement of goods.

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RETURNS

With GST in place, it does not matter whether you are a trader, manufacturer, reseller or a service provider. You only need to file GST returns.

Let us understand different types of return forms in GST.

All the forms are required to be e-filed. The details of each form are listed below along with details of applicability and periodicity.

11.1. REGULAR DEALER

Let us now discuss about various conditions laid down by the GST law to avail input credit on the supply of goods or services.

Form Type	Frequency	Due Date	Details to be Furnished
Form GSTR-1	Monthly	10th of the succeeding month	Furnish details of outward supplies of taxable goods and/or services effected
Form GSTR-2A	Monthly	On 11th of the succeeding month	Auto-populated details of inward supplies made available to the recipient, on the basis of Form GSTR-1 furnished by the supplier
Form GSTR-2	Monthly	15th of the succeeding month	Details of inward supplies of taxable goods and/or services claiming input tax credit. Addition or modification in Form GSTR-1 should be submitted in Form GSTR-2
Form GSTR-1A	Monthly	17th of the succeeding month	Details of outward supplies as added, corrected or deleted by the recipient in Form GSTR-2 will be made available to the supplier
Form GSTR-3	Monthly	20th of the succeeding month	Monthly return on the basis of finalization of details of outward supplies and inward supplies along with the payment of amount of tax
Form GST MIS-1	Monthly	- -	Communication of acceptance, discrepancy or duplication of the input tax credit claim
Form GSTR-3A	- -	15 days from default	Notice to a registered taxable person who fails to furnish return
Form GSTR-9	Annually	31st Dec of next fiscal	Annual Return - Furnish the details of the ITC availed and GST paid which includes the local and interstate transactions and import/exports

11.2. COMPOSITE TAX PAYER

Return Type	Frequency	Due Date	Details to be Furnished
Form GSTR-4A	Quarterly	– –	Auto-populated details of the inward supplies made available to the recipient registered under the composition scheme, on the basis of the FORM GSTR-1 furnished by the supplier.
Form GSTR-4	Quarterly	18th of the succeeding month	All outward supplies of goods and services, including auto-populated details from Form GSTR-4A and tax payable details. Details of any additions, modifications, or deletions in Form GSTR-4A should also be submitted in Form GSTR-4.
Form GSTR-9A	Annual	31st Dec of next fiscal	Consolidated details of the quarterly returns filed along with tax payment details.

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PAYMENT OF TAX

The liability of tax, input tax credit and deposits of every registered taxable person is maintained and administered on a common portal under the following accounts:

- Electronic Tax Liability Register
- Electronic Credit Ledger
- Electronic Cash Ledger

Electronic Tax Liability Register

All the amount payable by a taxable person will be debited (added) to an electronic tax liability register. The register will be added with:

- The amount payable towards tax, as per the return filed by the registered taxable person·

  Interest, late fee or any other amount payable by the registered taxable person
- The amount of tax and interest payable as a result of mismatch of ITC and tax liability

The electronic tax liability registered will be credited to the extent of the payment made by utilizing the input tax credit or by depositing the amount to the said registerbe e-filed. The details of each form are listed below along with details of applicability and periodicity.

Electronic Credit Ledger

The electronic credit ledger will be maintained for each registered taxable person on the common portal and every claim of input tax credit under it shall be credited to the said ledger.

The ledger will be debited to the extent of utilization of input tax credit to discharge the tax liability, and incase refund claim.

Electronic Cash Ledger

The electronic cash ledger will be maintained for each registered taxable person on the common portal for crediting the amount deposited. This account will be debited to the extent of payment made towards tax, interest, penalty, fee or any other amount.

12.1. TIMELINE FOR PAYMENT OF TAX

Type of Dealer	Due Date
Regular	20th of the subsequent month
Composition Dealer	18th of the subsequent quarter

12.2. MODES OF PAYMENT

The payment of tax and other dues can either be paid online or offline. Online Mode

- Internet banking through authorized banks
- Credit card or Debit card after registering the same in the common portal through the authorized bank
- National Electronic Fund Transfer (NEFT) from any bank
- Real Time Gross Settlement (RTGS) from any bank

For payments made by NEFT or RTGS mode from any bank, a mandate form shall be generated along with the challan and the same needs to be submitted to the bank (from where the payment has to be made).

Offline Mode Offline payment can be done by cash, cheque or demand draft by depositing through Over the Counter Payment (OTC) from authorized banks. Offline payment can be done only if the payment is up to `10,000 /- per challan per tax period.

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CONSEQUENCES OF NON-COMPLIANCE

Various measures have been laid down to check non-compliance under GST. These vary based on the severity of the offence. Penalties have been made stricter for tax evaders under GST.

Let us understand the various penalties laid down for non-compliance under GST.

13.1. LATE FEE

Late fee will be applicable if the returns are not furnished within the due date

Type of Return	Late
Monthly/ Quarterly Return	`100/- per day for every day during which such failure continues, subject to a maximum of `5000/-
Annual Return	`100/- per day for every day during which such failure continues subject to a maximum of `0.25% of aggregate turnover

13.2. INTEREST

The following are the circumstances for levy of interest:

Offence	Interest	Rate of Interest
A person liable to pay tax fails to pay the tax	Interest on the tax due will be calculated from the first day on which the tax was due to be paid	Maximum 18%
A person makes an undue or excess claim of input tax credit or undue or excess reduction in output tax liability	Interest on the undue excess claim or undue or excess reduction	Maximum 24%

13.3. CANCELLATION OF REGISTRATION

The registration can be cancelled when:

- A regular dealer has not furnished returns for a continuous period of 6 months.
- A composition dealer has not furnished returns for 3 quarters.
- A person who has taken voluntary registration has not commenced business within 6 months from the date of registration.
- Registration has been obtained by fraud, willful misstatement or suppression of facts.

13.4. FINES

Offences on which penalty will be levied have been specifically laid down under GST.

Offence	Penalty
• Supplies goods and/or services without issuing an invoice or issues an incorrect or false invoice • Issues an invoice without supply of goods and/or services • Collects tax but fails to pay the same to the government beyond a period of 3 months from the date on which the payment becomes due • Is an e-commerce operator, and fails to collect tax or collects lesser than the amount required to be collected or fails to pay the tax to the government? • Takes input tax credit without actual receipt of goods and/or services either fully or partially • Obtains refund of tax by fraud • Falsifies or substitutes financial records or produces fake accounts and/or documents or furnishes a false return • Liable to be registered, but fails to obtain registration • Furnishes false information with regard to registration • Transports taxable goods without documents • Suppresses turnover leading to evasion of tax • Fails to maintain books of accounts and documents • Issues an invoice or document by using the identification number of another person	`10,000/- or an amount equivalent to the tax evaded
A person who aids or abets any of the offences listed above	May extend to `25,000/-
Any offence for which a penalty is not separately provided under the law	May extend to `25,000/-

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13.5. IMPRISONMENT AND FINE

The circumstances under which imprisonment is applicable are:

Offence	Imprisonment
Commits or abets the following: • Obstructing or preventing any officer in the discharge of his duties • Tampering with or destroying any evidence or documents Failing to supply any information required of him under the law or supplying false information	6 months imprisonment with fine
Tax evaded or input tax credit wrongly availed or refund wrongly taken of an amount exceeding `100 Lakhs, but not exceeding `2 Crore	
Tax evaded or input tax credit wrongly availed or refund wrongly taken of an amount exceeding `2 crore , but not exceeding `5 Crore	Imprisonment which may extend to 1 year with fine
Tax evaded or input tax credit wrongly availed or refund wrongly taken of an amount exceeding `5 Crore	

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ACCOUNTS AND OTHER RECORDS

Accounts and records are the primary source of data for any organization's financial reporting. Every law of Direct and Indirect Tax in our country also mandates that information in a prescribed manner has to be captured and preserved for a certain period of time

Under GST, every registered taxable person is required to maintain correct accounts of the following details at the principal place of business specified in the registration certificate:

- Production or manufacture of goods
- Inward or outward supply of goods and/or services
- Stock of goods
- Input tax credit availed
- Output tax payable and paid
- Any other particulars as may be prescribed in this behalf

When there is more than one place of business, as specified in the certificate of registration, the accounts relating to each place of business should be kept at such places of business concerned.

Accounts and records should be maintained separately for each activity, such as manufacturing, trading, and provision of service. Any entry in registers, accounts and documents should not be erased or overwritten and incorrect entries should be scored out under attestation and then, the correct entry should be recorded. Where the registers and other documents are maintained electronically, a log of every entry edited or deleted should be maintained. Every registered dealer whose turnover during a financial year exceeds of ` 2 crore should get his accounts audited by a practicing Chartered Accountant, Cost Accountant or Company Secretary.

14.1. DOCUMENTS AS EVIDENCE

Printed records of any sort and electronic records are admissible as documents. Broadly the following electronic records are admissible as documents:

- Micro film or reproduction of the image of a document
- A facsimile (duplicate) copy of the document
- Printed material produced by a computer (computer printout)

The computer printout should be from the computer being used regularly to store or process information for any activity regularly carried on over the period

14.2. PERIOD OF RETENTION OF ACCOUNTS

Every registered taxable person should retain the accounts and records until the end of 72 months from the last of date of filing of annual return for the said year. For example, for the

financial year 2023-18, if the annual return has to be submitted by December 2018, the books will be kept till the end of December 2024.

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TAX RATE STRUCTURE

A four tier tax structure of 5%, 12%, 18% and 28% was finalized by the GST council on 3rd November, 2016. Additionally, a cess would be applicable on luxury cars, tobacco, and aerated drinks.

On the 18th of May, 2017, the GST council convened to fix and finalise the much-awaited GST rates The following table contains details few important products

Type	Rate	Products & Services
Zero Rated	0%	Fresh Meat, Fish, Chicken, Eggs, Curd, Butter Milk, Jaggery (Gur), Lassi, unpacked Panner, Handloom Products, Contraceptives, Hotel Services priced at less than INR 1000, Education, Healthcare etc.
Merit Rate	5%	Skimmed Milk Powder, Milk food for babies, Condensed milk, Packaged Panner, Cream, Frozen Vegetables, Coffee, Tea, Juices, Kerosene, LPG, Coal, Lifeboats, Railway Travel, Economy Class Air -Travel, Cab Aggregators (e.g. Uber & Ola) etc
Standard Rate	12%	Butter, Cheese, Ghee, Packaged Dry Fruits, Snacks (Namkeen & Bhujia), Packaged Chicken, Sausages, Fruit Juices, Packed Coconut Water, Tooth Powder, Sewing Machine, Umbrella, Ayurvedic -Medicine, Mobile Phones, Non-AC Hotels & Restaurants etc.
Standard Rate	18%	Preserved Vegetables, Flavoured refined sugar, Pasta, Corn Flakes, Pastries, Cakes, Jams, Sauces, Soups, Instant Food Mixes, Processed Foods, Edible Oil, issues, Toilet Paper, Hair Oil, Soap Bars, Toothpaste, Mineral Water Printed Circuits, Speakers, Monitors, Iron & Steel Products, AC Hotels & Restaurants that serve liquor, Telecom Services, IT Services, Financial Services etc.
Demerit Rate	28%	Chocolates, Chewing Gum, Custard Powder, Aerated Water, Deodorants, Shaving Cream, After Shave, Hair Shampoo, Dye, Sunscreen, Perfume, Face Creams, Detergents, Vaccum Cleaner, Shavers, Hair Clippers, Washing Machines, Dish Washers, Water Heaters & other Home Appliances, Automobiles & Motor Vehicles,Pan Masala, Tobacco, Aerated Drinks & Motor Vehicles, Rooms and Restaurants in 5-star hotels, Race course betting, etc.
Additional Cess over and above 28% Rate		Pan Masala, Tobacco, Aerated Drinks & Motor Vehicles, Automobiles & Motor Vehicles etc.

REFUND OF TAX

A tax refund refers to any amount that is due or returnable to the tax payer from the tax department. There are specific scenarios in which refund is allowed and dealers can claim tax refund only in these scenarios, such as excess payment of taxes, unutilized input tax credit on account of output supplies being exports, rate of tax on inputs being higher than the rate of tax on outputs (Inverted duty structure)

Following are the most common scenarios where refund is allowed under GST:

1. Unutilized input tax credit due to inverted duty structure: This is when the rate of tax on inputs is higher than the rate of tax on output supplies. Before GST this was not allowed for refund. However, in the GST regime, this scenario is eligible for claim of tax refund. Note that in this case, refund is not applicable when supplies are nil rated or fully exempt.
2. Unutilized input tax credit due to outward supplies are exported at zero rate. If goods are exported out of India, and are subject to export duty, no refund can be claimed.
3. Tax paid on inward supply of goods and/or services which have been exported or on inputs or input services used in goods and/or services exported. Note that if the goods are subjected to export duty, refund will not be allowed.
4. Tax has been paid on a supply which has not been provided, either wholly or partially, and for which an invoice has not been issued. For example, a supplier has received an advance from the recipient on 28th November '17 for a supply to be made on 20th December '17, However, the supply wasn't fulfilled owing to a disagreement. While filing the return for November '17, the supplier has to pay tax on the advance received. This tax is eligible for refund.
5. Tax wrongly collected and deposited with the Central or State Government- If a person has paid CGST and SGST on an interstate supply or IGST on an intrastate supply, the person is eligible for refund of the amount once the tax has been remitted correctly.
6. IGST paid on supply of goods to tourists traveling out of India, if the goods are taken out of India.

The application for refund of tax should be made within 2 years from the relevant date (broadly when the goods leave/passes outside India). 90% of the claim will be refunded on a provisional basis on receipt of application, and the remaining 10% after due verification of documents furnished by the applicant.

If the amount of refund claimed is less than 2 lakhs, the person needs to file a declaration, based on the documents or other evidence available with him, certifying that the incidence of tax or interest being claimed as refund has not been passed on to another person. In case, the refund is more than 2 lakhs, the application for refund must be accompanied by documentary evidence to establish that the refund is due to the person and Documentary or

other evidence to establish that the amount was paid by him/her, and that the incidence of the tax or interest has not been passed on to another person.

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TRANSITION TO GST

The first and foremost task for you, as a business is transitioning to GST. While it is important to know the fundamentals of GST, it is also very critical for you to understand the transition provisions available, and take the necessary actions to ensure a smooth transition to GST, and leverage on transition benefits. You will need to review your accounting and reporting procedures, procurement, logistics decisions, and so on, in advance, to avail the appropriate input tax credit.

Today, the manufacturing, sales and service activity are governed by a separate indirect tax system. The manufacturing activity is covered by Central Excise, sales is covered under State VAT/CST, and the services activity is covered under the Service Tax Act.

Let us understand the carry forward of input tax credit for business and availing input tax credit on closing stock held on the last day prior to implementation of GST.

17.1. REGISTERED BUSINESS

For ease of understanding, we have categorized the transition provisions for each of the below tax types:

- Central Excise
- VAT
- Service Tax

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17.1.1. Scenario –I : Availed Input Tax Credit

Central Excise Manufacturer

A manufacturer can carry forward the balance CENVAT credit available on the last day, prior to date on which GST is implemented, as input credit. This will be allowed as credit only if the following conditions are met by the manufacturer:

- The closing balance of CENVAT credit should reflect in the last return filed by you
- It should be allowed as input tax credit under GST
- All the returns as required to be furnished, filed for last 6 months from the date of implementation of GST

Today, any manufacturer other than Small Scale Industries (SSI- whose turnover does not exceed 4 crores) should file their monthly returns in Form ER-1, and SSI quarterly returns in Form ER-3. The amount of CENVAT carried forward in Form ER-1 or Form ER-3 as on the last day i.e., the day before GST is implemented, will be allowed to be carried forward as CGST input tax credit.

Let us understand this with an example.

Ganesh Chemicals Pvt Ltd, a manufacturer located in Karnataka is registered under Excise and Karnataka VAT. As on 30th June, 2023, the Form ER-1 of Ganesh Chemicals Pvt Ltd is as given below:

FORM E.R.-1

RETURN OF EXCISEABLE GOODS AVAILMENT OF CENVAT CREDIT FOR THE MONTH OF JUNE AND YEAR 2017

DETAILS OF CREDIT	CENVAT	AED_TTA	NCCD	ADE_LVD _CL_B5	ADE_LVD _CT_75	EDU_ CESS	SEC_EDU _CESS	SERVICE TAX	EDU_ CESS ST	SEC_EDU_ CESS_ST
Closing cenvat balance	25,000	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00

As per Form ER-1 of June 2023, Ganesh Chemicals Pvt Ltd has a closing CENVAT balance of `25,000.

Can Ganesh Chemicals Pvt Ltd. carry forward the CENVAT credit?

Yes, the closing CENVAT balance of `25,000 is fully eligible to be carried forward by Ganesh Chemicals Pvt Ltd. This is because Ganesh Chemicals Pvt Ltd. satisfies all the conditions explained below:

- ✓ The CENVAT of `25,000 should reflect in the return, and ✓ In GST, the same is allowed as Input Tax Credit.
- ✓ Form ER-1 for last 6 months are filed as required under Central Excise

Now, for Ganesh Chemicals Pvt Ltd, CENVAT will be a CGST credit. This can be utilized to setoff the liabilities in the order prescribed.

Excise Dealer

You are liable for registration under Central Excise if you trade in excisable goods. Today, the excise duty you pay will not be available as credit. A first stage or second stage dealer adds the excise duty paid to the price of the product. When the product is sold to a manufacturer, the excise duty passed on will be claimed as CENVAT credit by the buying manufacturer.

On the date of transitioning to GST, the excise duty paid in respect of closing stock held, will be allowed to be carried forward as CGST input tax credit. The eligibility conditions are discussed in the next section availing the input credit held in closing stock.

VAT

A business registered under VAT needs to file monthly or quarterly VAT return forms, as prescribed by their respective states. The input VAT credit in VAT return forms will be carried forward as SGST input tax credit

Let us understand this with an example

Lakshmi Enterprises, a trader located in Karnataka is registered under Karnataka VAT. As on 30th June, 2023, the VAT Form 100 (monthly return form for Karnataka) of Lakshmi Enterprises is as given below

Tax (Month/Quarter):	FORM VAT 100 (See rule 138)
RETURN	
Tax Period (Month/Quarter):	June, 2017
Credit/excess payment carried forward	5,000.00

As per the VAT Form 100 of June 2023, Lakshmi Enterprises has an input VAT credit balance of `5,000

Can Lakshmi Enterprises carry forward the input VAT credit?

Yes, the closing input VAT of ` 5,000 can be fully carried forward by Lakshmi Enterprises This is because Lakshmi Enterprises satisfies all the conditions explained below:

- ✓ The input VAT of 5,000 is captured in the return, and ✓ In GST, the same is allowed as Input Tax Credit.
- ✓ VAT returns are filed for last 6 months prior the date of implementation of GST

Now, for Lakshmi Enterprises, the input VAT will be carried forward as SGST credit. This can be utilized to set off the liabilities in the order as prescribed

Service Tax

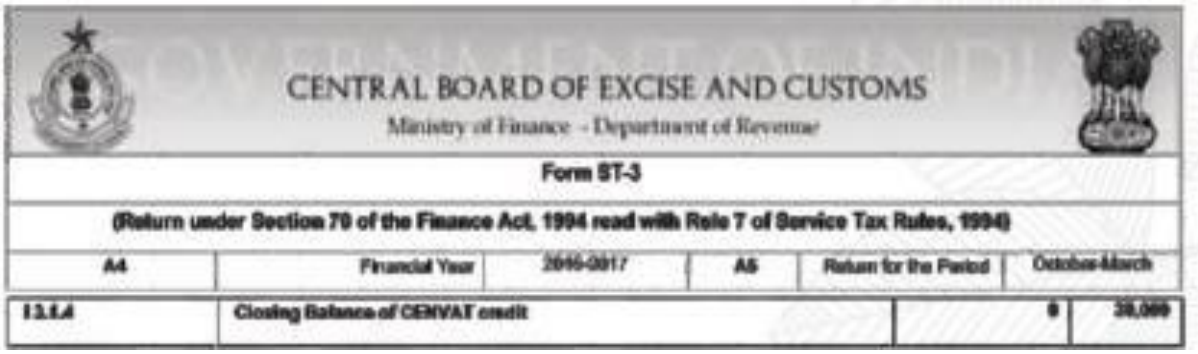
A service provider was liable for registration, if his aggregate value of taxable services exceeded `10 lakhs. The following are the types of service tax levied on taxable services:

Tax	Rate of Tax	Input Credit Available?	Set off Against?
Service Tax	14%	Yes	Service Tax and Excise liability
Swachh Bharat Cess	0.5%	No	--
krishi kalyan Cess	0.5%	Yes	Only against Krishi Kalyan Cess liability

A service provider needs to file half yearly returns in Form ST-3. The closing balance of service tax input credit will be carried forward as CGST input tax credit.

Let us understand this with an example

Matrix Agency is an advertising agency in Karnataka. As on 30th June, 2023, the ST-3 return form of Matrix Agency Ltd is given below:



CENTRAL BOARD OF EXCISE AND CUSTOMS

Ministry of Finance - Department of Revenue

Form ST-3

(Return under Section 70 of the Finance Act, 1994 read with Rule 7 of Service Tax Rules, 1994)

A4	Financial Year	2016-2017	A5	Return for the Period	October-March
13.1.4	Closing Balance of CENVAT credit			0	30,000

As per Form ST-3 of June 2017, Matrix Agency has a closing CENVAT (Service Tax Input Credit) balance of `30,000.

Can Matrix Agency carry forward the CENVAT credit?

Yes, the closing CENVAT balance of ` 30,000 is fully eligible to be carried forward by Matrix Agency .This is because Matrix Agency satisfies all the conditions explained below:

- The CENVAT of `30,000 is captured in the return and
- In GST, the same is allowed as input tax credit
- Form ST-3 is filed as required under Service Tax

Now, for Matrix Agency, CENVAT will be a CGST credit. This can be utilized to set-off liabilities in the order prescribed.

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17.1.2. Scenario-II: Unavailed CENVAT credit and Input VAT on capital goods

Before GST, under Central Excise, CENVAT credit was availed to the extent of 50% in the current year, and the remaining was availed in the subsequent year. Similarly, VAT paid on purchase of capital goods will not be fully available as input VAT immediately.

Depending upon the state VAT laws, and the type of capital goods purchased, the input VAT can be availed:

- In instalments spread over different financial years or
- As credit after commencement of commercial production and so on.

Due to this prevailing restriction for availing CENVAT credit on capital goods, there could be some unavailed CENVAT and input VAT on the date of transitioning to GST.

Let us discuss with an example to understand better

Super Cars Pvt Ltd purchased machinery on the 1st February, 2017. The details of the transaction are shown below:

Particulars	Amount (₹)
Machinery	1,00,000
Excise Duty@12.5%	12,500
VAT 14.5%	16,313
Total	1,28,813

As per CENVAT provisions, Super Cars Pvt Ltd. was allowed to avail CENVAT up to 50% in the current year, and the remaining during the subsequent years. According to the VAT provisions of Karnataka, input VAT credit can be availed only after the commencement of commercial production. Let's assume that commercial production is to begin in June'17.

Super Cars Pvt. Ltd availed:

- 50% CENVAT i.e. `6,250 in the current year (2016-17)
- Remaining CENVAT of `6,250 in the subsequent year (2017-18)
- Input VAT credit after commencement of commercial production, eligible in 2017-18

Will Super Cars Ltd. be allowed to carry forward the unavailed CENVAT of `6,250 and input VAT credit of `16,313 on transitioning to GST?

Yes, Super Cars Ltd. is allowed to carry forward the unavailed CENVAT credit on capital goods, provided these conditions are satisfied:

Under the current statute, CENVAT and input VAT are allowed as input tax credit.

- It is admissible as input tax credit in GST.
- Super Cars Pvt Ltd. satisfies all the conditions, and they are eligible to carry forward the CENVAT and input VAT credit.

17.2. AVAILING THE INPUT CREDIT HELD IN CLOSING STOCK

On the date of transitioning to GST, broadly, there will be businesses which are:

Not liable to be registered under the current law, but are liable for registration under GST

As per the Central Excise Act and Rules, a manufacturing unit is required to register if its aggregate clearance value crosses `1.5 crores, and needs to discharge the duty. Similarly, under VAT, you are liable for registration if your turnover during the financial year crosses the threshold limit. The threshold limit differs from state to state.

Today, you may not be liable for registration as your threshold limit does not exceed the prescribed limit. However, you become liable to register under GST if your threshold limit exceeds `10 lakhs for Special Category States (Arunachal Pradesh, Assam, Jammu and

Kashmir, Manipur, Meghalaya, Mizoram, Nagaland, Sikkim, Tripura, Himachal Pradesh and Uttarakhand) and `20 lakhs for the rest of India.

Engaged in the manufacture or sale of exempted goods or services

You may currently be engaged in the manufacture, sale of exempted goods or provision of exempted service, but on transition to GST, these are taxable.

First stage dealer or a second stage dealer or a registered importer

As a dealer, you are liable for registration under Central Excise if you trade in excisable goods. The excise duty paid was not available as credit, as a first stage or second stage dealer adds the excise duty paid to the price of the product. If it was sold to a manufacturer, the excise duty passed on will be claimed as CENVAT credit by the buying manufacturer.

Similarly, you need to register under Central Excise as an importer if you are importing the goods, and if you discharge the applicable import duty.

In all the above-mentioned scenarios, input tax credit (CENVAT, input VAT, entry tax and Service Tax) held in the closing stock of inputs (raw- materials), semi- finished goods, and finished goods can be availed. However, there are conditions that you need to meet to be eligible to avail input tax credit held in your closing stock.

ELIGIBILITY CONDITIONS TO AVAIL INPUT TAX CREDIT FOR YOUR CLOSING STOCK

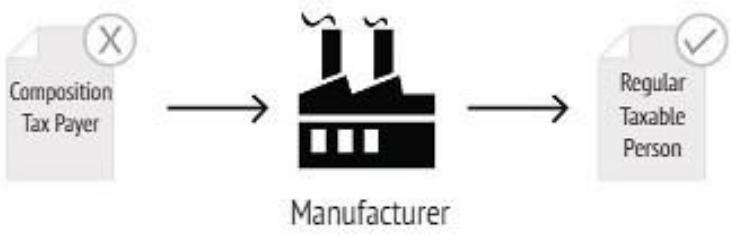
You can avail input tax credit for your closing stock only if:

- The closing stock is held either in the form of raw materials, semi-finished goods, or finished goods, and must be used or intended to be used for taxable supplies.
- The benefit of such credit is passed on, by way of reduced prices, to the recipient.

Before GST, duty/tax is added to product cost as input tax credit is not allowed. On transitioning to GST, ITC will be allowed, and this should naturally result in the reduction of base cost, and subsequently reduce the final price to customers.

- You are eligible for input tax credit under GST

In GST, you are eligible for input tax credit if you are a regular tax payer only. A taxable person opting for composition levy under GST is not allowed to claim input tax credit



- You have invoices or any other prescribed duty/tax paying documents in respect of the closing stock of inputs (including semi-finished goods and finished goods). 100% input tax credit will be allowed if you have invoice or any other document evidencing tax payment. In the absence of such document, 60% of CGST or SGST will be allowed,

  if the rate of tax is 18% or higher. If rate of tax is less than 18%, 40% of CGST or SGST will be allowed. In case of IGST, it will be 30% and 20% respectively.



- The date of invoices or any other prescribed duty/tax paying documents is within 12 months from the date of transitioning to GST.



- The supplier of services is not eligible for any abatement under the act.

Let us understand this with an example.

Ravindra Automobiles is a registered excise dealer in cars and car spare parts. On 1st June, 2023, Ravindra Automobiles purchased spare parts, and the details of the transaction are given below:

Date	Stock Item	Qty	Rate / qty	Total Value	VAT @ 14.5%	Excise Duty 12.5%
01-06-2017	Spares	50 Nos	1500 / Nos	75,000	10,875	9,375

As on 30 June, 2023, the closing stock of spares held by Ravindra Automobiles is 30 Nos.

- Before GST, Ravindra Automobiles could avail the input VAT of `10,875 as credit, and can set this amount against the output VAT. However, input credit on excise duty can't be claimed. Therefore, it is added to the product cost. Now, on transitioning to GST, Ravindra Automobiles is allowed to avail the input tax credit of excise duty on the closing stock held by them.

Let us consider the above example and calculate the excise duty on closing stock which can be availed as input tax credit.

Closing Stock as on 30-6-2017	30 Nos
Duty Per Unit (Total Excise Duty 9,325 / Quantity 50 Nos)	187.5 / Unit
Balance Duty on closing Stock (Duty per unit 187.5 X Closing Stock 30 Nos)	5,625

Now, Ravindra Automobiles can avail the excise duty of `5,625 on the closing stock held, but are they eligible to avail it?

To be eligible, Ravindra Automobiles has to meet the following conditions:

- ✓ The closing stock held must be used or intended to be used for taxable supplies.

Yes, the closing stock of 30nos will be used for taxable supplies.

- ✓ The benefit of such credit must be passed on, by way of reduced prices, to the recipient.

Since input tax credit is available, Ravindra Automobiles will no longer add this to the product cost. As a result the base cost will reduce, and subsequently result in reduction of price.

- ✓ They are eligible for input tax credit under GST.
- ✓ They should have invoices or any other prescribed duty/tax paying documents in respect of closing stock of inputs (including semi-finished goods and finished goods).

Ravindra Automobiles has the Rule 11 invoice issued by their supplier (manufacturer) in respect the closing stock of 30 nos.

- ✓ The date of invoices or any other prescribed duty/tax paying documents must be within 12 months from the date of transitioning to GST.

The closing stock of 30 nos held is against the purchase dated 1-6-2017, which is within 12 months of GST implementation.

Ravindra Automobiles meets all the above conditions and is eligible to avail the excise duty of ` 5,625 as CGST input tax credit

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INPUT SERVICE DISTRIBUTOR (ISD)

It is quite common that businesses have a distributed system of manufacturing units or service rendering units across the nation. In simple words, businesses with Head Offices (HO) and Branch Offices (BO) which are spread across the nation could be in the same state or a different states. Under this system, in order to have better operational efficiency and control, usually businesses adopt centralized billing for procurement of common services at the HO. This situation leads to the accumulation of input tax credit paid on common inward supplies which are used by the branch units.

In order to avoid this situation, the concept of Input Service Distributor (ISD) was introduced in CENVAT credit rules, which allows the HO to distribute the input tax credit to eligible units which are engaged in manufacturing or rendering of taxable services. The HO, which does the centralized billing for procurement of common services is termed as the 'Input Service Distributor'.

In order to distribute the credit, the HO has to obtain a separate registration as an ISD, and file half yearly returns.

As an ISD, the HO mainly performs the following:

- Receives service tax invoice for availing common input services
- Distributes the input tax credit to eligible units by issuing an invoice/challan, as required.

The concept of Input Service Distributor (ISD) is provided in GST too. It is defined as 'an office of supplier of goods and/or services, which has received input services under the cover of tax invoice, and is allowed to distribute the said tax credit to the supplier of goods and/or services registered under the same PAN'. This indicates that the ISD is an office:

- Which can be a head office, administrative office, corporate office, regional office, depot, and so on, belonging to registered taxable who intends to distribute the credit
- Which receives tax invoices towards the receipt of inward supply of services
- Which distributes the tax credit paid of inward supplies of services to the branch units which have consumed the services, and issues invoices for the distribution of credit.

18.1. REGISTRATION UNDER GST

An ISD is required to obtain a separate registration. The registration is mandatory and there is no threshold limit for registration for an ISD. Businesses who are already registered as an ISD under the existing regime (i.e. under Service Tax), will be required obtain a new ISD registration under GST. This is because, the existing ISD registration will not be migrated to the GST regime

18.2. MANNER OF DISTRIBUTION OF CREDIT

Under GST, on an intrastate transaction, CGST and SGST will be applicable. In case of transaction within a union territory, CGST and UTGST will be applicable. IGST will be applicable in case of interstate transactions and imports. The following are the scenarios of distribution of credit by an ISD:

- ISD and the recipient of credit are located in the same state
- ISD and the recipient of credit are located in different states
- The unit to which the input tax credit is distributed is referred to as the 'recipient of credit'.

ISD and recipient of credit are located in the same state

When the ISD and recipient of credit are located in the same state/union territory, the input tax credit of IGST, CGST, SGST, and UTGST should be distributed to the recipient as follows:

Recipient of Credit and ISD are in the same State	
Input Credit with ISD	Distribution to Recipient of Credit
IGST →	IGST
CGST →	CGST
SGST →	SGST
UTGST* →	UTGST*

*Applicable on transactions within a union territory

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Let us understand with an example.

Top-In-Town Home Appliances Ltd, is located in Bangalore, Karnataka. They also have units located in Mysore, Chennai and Mumbai. The unit in Bangalore is the Head Office and registered as an ISD. They do bulk procurement of common services which are used by the other units too.

Top-In-Town Home Appliances Ltd (HO) receives an invoice of ` 1,00,000 with GST of 18,000 (CGST 9,000 + SGST 9,000) towards advertisement services provided exclusively to the Mysore unit.

The credit will be distributed as CGST ` 9,000 and SGST ` 9,000.

Recipient of credit and ISD are located in different states

When the ISD and the recipient of credit are located in different states/union territory, the input tax credit of IGST, CGST, SGST, and UTGST should be distributed to the recipient of credit as follows



For example, Top-In-Town Home Appliances Ltd (HO) receives an invoice of ` 1,00,000 with a GST of `18,000 (CGST 9,000 + SGST 9,000) towards advertisement services provided exclusively to the Chennai unit.

The credit of CGST ` 9,000 and SGST ` 9,000 will be distributed to the Chennai unit as IGST, `18,000.

18.3. CONDITIONS FOR DISTRIBUTION OF INPUT TAX CREDIT BY AN ISD1.

1. An ISD invoice clearly indicating 'issued only for distribution of input tax credit', should be issued by the distributor to the recipient of credit. The tax invoice should contain the following details:
    a. Name, address, and GSTIN of the Input Service Distributor
    b. A consecutive serial number containing only alphabets and/or numerals, unique for a financial year
    c. Date of issue
    d. Name, address, and GSTIN of the supplier of services, the credit in respect of which is being distributed, and the serial number and date of invoice issued by such supplier
    e. Name, address, and GSTIN of the recipient to whom the credit is being distributed
    f. The amount of credit distributed, and
    g. Signature or digital signature of the supplier or his authorized representative
2. The amount of credit distributed shall not exceed the amount of credit available for distribution.
3. The input tax credit available for distribution in a month shall be distributed in the same month, and the details of the same shall be furnished in Form GSTR -6. The input tax credit should be distributed only to that branch which has consumed the input services. Let us understand this with an example:

    For example, Top-In-Town Home Appliances Ltd, is located in Bangalore, Karnataka. They also have branches located in Mysore, Chennai, and Mumbai. The unit in

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Bangalore is the Head office and they procure common services in bulk which are used by the other branches too.

Top-In-Town Home Appliances Ltd (HO) receives an invoice of `1,00,000 + GST of 18,000 towards advertisement services provided exclusively to the Mysore branch. The total credit of `18,000 will be distributed only to the Mysore branch

4. The credit of tax paid on input services, availed by more than one recipient of credit or all, should be distributed only amongst such recipients or all recipients.

   For example, Top-In-Town Home Appliances Ltd (HO) receives an invoice of ` 5,00,000 + GST of `90,000 towards repair services provided to the Mysore and Chennai branches.

   The total credit of `90,000 will be distributed to the Mysore and Chennai branches.

Method of Distribution

The distribution shall be on pro rata basis on the turnover for the previous year of such recipients. In the absence of turnover in previous financial year, the turnover of the last quarter of the month in which ITC is distributed, will be considered.

Let us consider the above example and understand in detail

Amount of credit to be distributed	₹ 90,000
Number of recipients of credit	Mysore and Chennai
Aggregate turnover of Mysore unit in previous financial year	₹ 60 Lakhs
Aggregate turnover of Chennai unit in previous financial year	₹ 90 Lakhs
Aggregate turnover of all recipients of credit	₹ 150 Lakhs

The credit of `90,000 will be distributed in the following manner

$$\frac{\text{Turnover of Recipient of Credit in PY}}{\text{Aggregate Turnover of all the recipients in PY}} \times \text{Amount of credit to be distributed}$$

Mysore	Chennai
$\frac{60,00,000}{1,50,00,000} \times 90,000 = 36,000$	$\frac{90,00,000}{1,50,00,000} \times 90,000 = 54,000$

18.4. Return Forms for ISD

Return Type	Frequency	Due Date	Details to be furnished
Form GSTR-6A	Monthly	On the 11th of the succeeding month	Details of inward supplies made available to the ISD recipient on the basis of FORM GSTR-1 furnished by the supplier
Form GSTR-6	Monthly	BY 13th of the succeeding month	Details of the input credit distributed

JOB WORK

Today the manufacturing sector are operating in competitive business environment and it is economical and cost effective by outsourcing as job work. The job work industry constitutes a significant sector in the Indian economy. It's an indispensable arm of our industrial sector.

Before GST, if the process undertaken by the job worker amounts to manufacture/ deemed manufacture, the job worker would be liable to pay the duty of excise on the goods so manufactured. However, the 'Principal' who has supplied the goods for job work may furnish a declaration based on which the job worker would not be required to charge duty of excise. This declaration exempts goods manufactured by a job worker from the duty of excise. This declaration also puts certain conditions on the 'Principal' as follows:

 The goods must be used in manufacturing process by principal manufacturer, and

It should result in a dutiable product on which duty of excise can be charged.

The activity undertaken by the job worker would not be liable to service tax, because process amounting to manufacture or production of goods is covered by the Negative list of Service Tax.

Under GST, Job work refers to any treatment or process undertaken by a person on goods belonging to another registered person. It is defined in broader perspective to include all activities or process done by the job worker irrespective of whether the activities result in manufacturing of finished goods or an essential operation to complete the process.

19.1 REMOVAL OF GOODS UNDER GST

The principal manufacturer can send any inputs or capital goods to a job worker without payment of tax only if the inputs sent for job work must be received back within a period of 1 year from receipt of goods by the job worker. Further, this time limit in respect of capital goods (other than moulds, dies, jigs, fixtures, or tools) is 3 years.

After completion of job work, principal may either,

- Bring back the goods to any of his place of business, without payment of tax, for further supply within India, by paying tax or without payment of tax for export
- Supply the goods within India from the place of business of a job-worker with payment of tax, or export with or without payment of tax only. The principal can supply the goods from the place of job worker only if he declares the place of business of the job worker as his additional place of business.

However, if job worker is registered, declaration of additional place of business is not required. Also for certain notified goods, the declaration of additional place of business is not required.

Input Tax Credit of goods sent for job work

- The Principal will be entitled to take credit of input tax on inputs sent to a job worker for job work, if the said inputs, after completion of job work, are received by him within 1 year of the inputs being sent out.
- The 'principal' will be entitled to take credit of input tax on inputs even if the inputs are directly sent to a job worker for job work without being first brought to his place of business, and in such a case, the period of 1 year shall be counted from the date of receipt of the inputs by the job worker

Input Tax Credit of Capital goods (other than moulds, dies, jigs, fixtures, or tools) sent for job work

- The 'principal' shall be entitled to take credit of input tax on capital goods even if the capital goods are directly sent to a job worker for job work without their being first brought to his place of business.
- Where the capital goods sent for job work are not received by the 'principal' within a period of three years of their being sent out, it shall be deemed that such capital goods had been supplied by the principal to the job worker on the day when the said capital goods were sent out.
- Where the capital goods are sent directly to a job worker, the period of three years shall be counted from the date of receipt of capital goods by the job worker.

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19.2. TRANSITIONAL PROVISION IN RESPECT OF GOODS SENT TO JOB WORKER INPUTS REMOVED FOR JOB WORK AND RETURNED ON OR AFTER THE IMPLEMENTATION OF GST

Inputs received in a factory have been 'removed as such' after being partially processed to a job worker for further processing, testing, repair, reconditioning, or any other purpose in accordance with the provisions of the earlier law, and are returned to the factory on or before the implementation of GST if,

- returned within a period of 6 months from the implementation of GST, no tax will be payable
- Returned after 6 months, ITC will be recovered.

This will be applicable, only if the principal and the job worker have declared the details of closing stock on the date of transition to GST

SEMI-FINISHED GOODS REMOVED FOR JOB WORK AND RETURNED ON OR THE IMPLEMENTATION OF GST

Semi-finished goods removed/dispatched from factory to another premises, for carrying out certain manufacturing process, returned to the factory on or after implementation of GST,

 within a period of 6 months from the implementation of GST, no tax will be payable

After 6 months, ITC will be recovered.

Such goods may be transferred to the premises of any registered taxable person with tax, if supply is within in India or without payment of tax, for exports.

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NON-RESIDENT TAX PAYER

Non-resident taxable person refers to a taxable person who occasionally undertakes transactions involving supply of goods and/or services either as principal or agent or in any other capacity but has no fixed place of business in India.

Non-Resident Tax payer has to register mandatorily under GST and has to apply for registration at least five days prior to the commencement of business.

The certificate of registration issued to a non-resident taxable person shall be valid for a period specified in the application for registration or for 90 days from the effective date of registration, whichever is earlier. On request, the officer can extend this period further by 90 days.

At the time of submission of application for registration, he should make an advance deposit of tax, equivalent to the estimated tax liability for the period, for which registration is sought. If the period is extended, he should also deposit an additional amount of tax equivalent to the estimated tax liability for the period for which the extension is sought **20.1 Returns**

Return Type	Frequency	Due Date	Details to be furnished
Form GSTR-5	Monthly	20th of succeeding month or within 7 days after the expiry of registration whichever is earlier	Details of imports, outward supplies, ITC availed, tax paid, and closing stock.

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E-COMMERCE

Electronic Commerce or e-commerce has transformed the way business is done in India. Before GST the e-commerce industry in India was faced with the levy of multiple taxes. Every state had imposed its own set of rules and taxes on the e-commerce industry. The lack of clarity on the tax treatment of the various types of e-commerce transactions, and new aspects such as e-wallet and cashbacks, have resulted in a complex tax environment for the industry.

E-commerce firms are looking forward to the implementation of GST in the hope of greater clarity, and removal of state specific rules and levies. The draft Model GST Law recognizes the need for rules specific to the e-commerce industry. In this section, we will look at the specific provisions with respect to the e- commerce in GST.

21.1 DEFINITION OF E-COMMERCE UNDER GST

Electronic commerce is defined as the supply of goods and/or services, including digital products, over a digital or electronic network. An electronic commerce operator is defined as a person who owns, operates or manages digital or electronic facility or platform for electronic commerce.

21.2 PROVISIONS WITH RESPECT TO E-COMMERCE IN GST

1. Supplier on an e-commerce platform cannot become a composition tax payer- A person who supplies goods or services through an e-commerce operator cannot become a composition tax payer. Hence, even if the person's aggregate turnover does not cross `50 Lakhs, he/she does not have the option to become a composition tax payer.

2. Mandatory registration- All e-commerce operators and suppliers on e- commerce platforms are mandatorily required to register under GST. Hence, even e-commerce suppliers whose aggregate turnover does not exceed the threshold limit for registration will have to compulsorily register.

3. Tax to be paid by the e-commerce operator on notified services- Certain service categories may be notified, on supply of which, tax shall be paid by the e-commerce operator, and not the supplier. Further,

    a. If the e-commerce operator does not have an establishment in a state, any person representing the e-commerce operator for any purpose in the state will be liable to pay the tax.

    b. If the e-commerce operator does not have an establishment in a state, and also does not have a representative in the state, the e- commerce operator should appoint a person in the state for the purpose of paying tax, and this person shall be liable to pay the tax.

4. An e-commerce operator has to collect tax at source- Every e-commerce operator should collect tax @ 2% on the net value of taxable supplies made through their platform, where the consideration, with respect to such supplies, has to be collected by the operator.

Net value of taxable supplies = Value of taxable supplies made by all registered taxable persons through the operator, other than notified supplies on which tax is paid by the operator minus(-) Value of taxable supplies returned to the suppliers.

Example: Fast Deals is an e-commerce operator. Rakesh Pvt Ltd and Rohan Pvt Ltd are suppliers for Fast Deals. The following supplies are made on Fast Deals in October '17

Outward supplies register of Fast Deals				
	Taxable supplies (₹)		Taxable supplies returned (₹)	
Supplier	Inter-state	Intra-state	Inter-state	Intra-state
Rakesh Pvt Ltd	90,00,000	93,00,000	20,000	30,000
Rohan Pvt Ltd	80,00,000	97,00,000	30,000	40,000
	1,70,00,000	1,90,00,000	50,000	70,000

Note: Net value of taxable supplies is `3,58,80,000( Taxable supplies – taxable supplies returned). Hence, GST to be collected in October '10 is `7,17,600 (3,58,80,000* 2%). **5.** Returns and tax payment process

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Date	Form	Details
10th of the month	Form GSTR-8	E-commerce operator has to furnish Form GSTR-8 containing details of outward supplies made through it in the previous month, including supplies returned. E-commerce operator also pays the tax collected from the suppliers.
11th of the month	Form GSTR-2A	Based on Form GSTR-8 filed, Form GSTR-2A will be made available to the suppliers. Part D of Form GSTR-2A will show details of tax collected by the e-commerce operator, using which the supplier can claim credit.

Date	Form	Details
31th Dec of next fiscal	Form GSTR-9B	Annual statement with details of outward supplies of goods, services or both effected through an e-commerce operator, including the returns of the same and the amount collected.

Example: Let us see the returns and tax payment process in the case of Fast Deals and Rakesh Pvt Ltd for the month of October '17.

- 10th November '17- Fast Deals furnishes Form GSTR 8 with net taxable supplies of `3,58,80,000. They also pays the tax of `7,17,600.

- 11th November '17- Form GSTR-2A made available to Rakesh Pvt Ltd. The net taxable supplies of `1,82,50,000 with GST input credit of ` 3,65,000 will be shown in GSTR-2A

6. Matching of invoices

On cross matching the supplies reported by the e-commerce operator and the supplier selling through the operator, if supplies furnished by the operator are more that those furnished by the supplier, the operator will be informed. The discrepancy must be rectified in the returns for that month. Else, the differential amount will be added to the tax liability of the supplier in the next month, along with the interest due which needs to be paid.

Example: Fast Deals furnishes Form GSTR-8 for October '17 as shown above. Rakesh Pvt Ltd furnishes Form GSTR-1 for October '17 on 10th November '17, showing net taxable supplies through Fast Deals to be `82,50,000. Let us now see the invoice matching process in this case.

Date	Form	Details
21st November '17	Form GST MIS-3 and GST MIS-4	Form GST MIS-4 is made available to Fast Deals and Rakesh Pvt Ltd, (GST MIS-3) showing discrepancy of ₹ 1,00,00,000 in the returns filed by them
10th December '17	Form GSTR-8 and Form GSTR-1	Fast Deals furnishes Form GSTR-8 and Rakesh Pvt Ltd furnishes Form GSTR-1 for November '17. The discrepancy must be resolved by them in this return

If the discrepancy is not solved, `2,00,000 (`1,00,00,000*2%) will be added to the tax liability of Rakesh Pvt Ltd for December '17. Rakesh Pvt Ltd has to pay `2,00,000 along with the interest due.

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COMPLIANCE RATING

GST compliance rating is a new concept being introduced under GST. Under this system, every taxable person will be assigned a GST compliance rating score based on his historical record of compliance. The score will be determined on the basis of set parameters which is yet to be prescribed. This compliance rating score will be available to taxpayers and also would be placed in the public domain.

The scores will be updated at periodically.

Under GST, the input tax credit will be available based on the supplier's compliance and matching of invoice, the system of rating of concept will help the recipient view the complete compliance profile of supplier and choose the suppliers who are better compliant.

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GST Practitioner (GSTP)

In the pre-GST regime, there were accounting and tax professionals who are authorized to file returns on behalf of taxable persons. This role was performed by Chartered Accountants (CAs), Sales Tax Practitioners (STPs) and advocates. The GST Act seeks to formalize this association between a tax payer and the return preparer and make the three-way association between a tax payer, a GST Practitioner and GSTN transparent.

Let us understand who a GST Practitioner is, under GST.

A GST Practitioner is a person approved by the Central or State Government to perform any or all of the following activities, on behalf of a taxable person:

- File an application for fresh registration
- File an application for amendment or cancellation of registration
- Furnish details of outward and inward supplies
- Furnish monthly, quarterly, annual or final return
- Make payments for credit into the electronic cash ledger, i.e. payments for tax, interest, penalty, fees or any other amount
- File a claim for refund
- Represent the taxable person in any proceeding under the Act, other than inspection, search, seizure and arrest
- File an appeal to the First Appellate Authority
- File an appeal to the Appellate Tribunal

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23.1. WHO CAN BECOME A GST PRACTITIONER?

A person can become a GST Practitioner under GST if he/she satisfies the conditions listed below:

- Should be a citizen of India
- Should be a person of sound mind
- Has not been declared as insolvent
- Has not been convicted for an offence with imprisonment for more than two years

  Meets the required education or work experience criteria, given below:
- Should be a retired officer of the Commercial Tax Department of any State Government or of the Central Board of Excise and Customs, having worked in a post not lower in rank than of a Group-B gazette officer, for a period not less than two years

OR

Has passed-

a. a graduate or postgraduate degree or its equivalent examination, having a degree in Commerce, Law, Banking including Higher Auditing, or Business Administration or Business Management from any Indian University established by any law for the time being in force

OR

b. a degree examination of any Foreign University recognized by any Indian University as equivalent to the degree examination mentioned above

OR

c. any other examination notified by the Government for this purpose

OR

d. any degree examination of an Indian University or of any Foreign University recognized by any Indian University as equivalent of the degree examination, and has also passed any of the following examinations

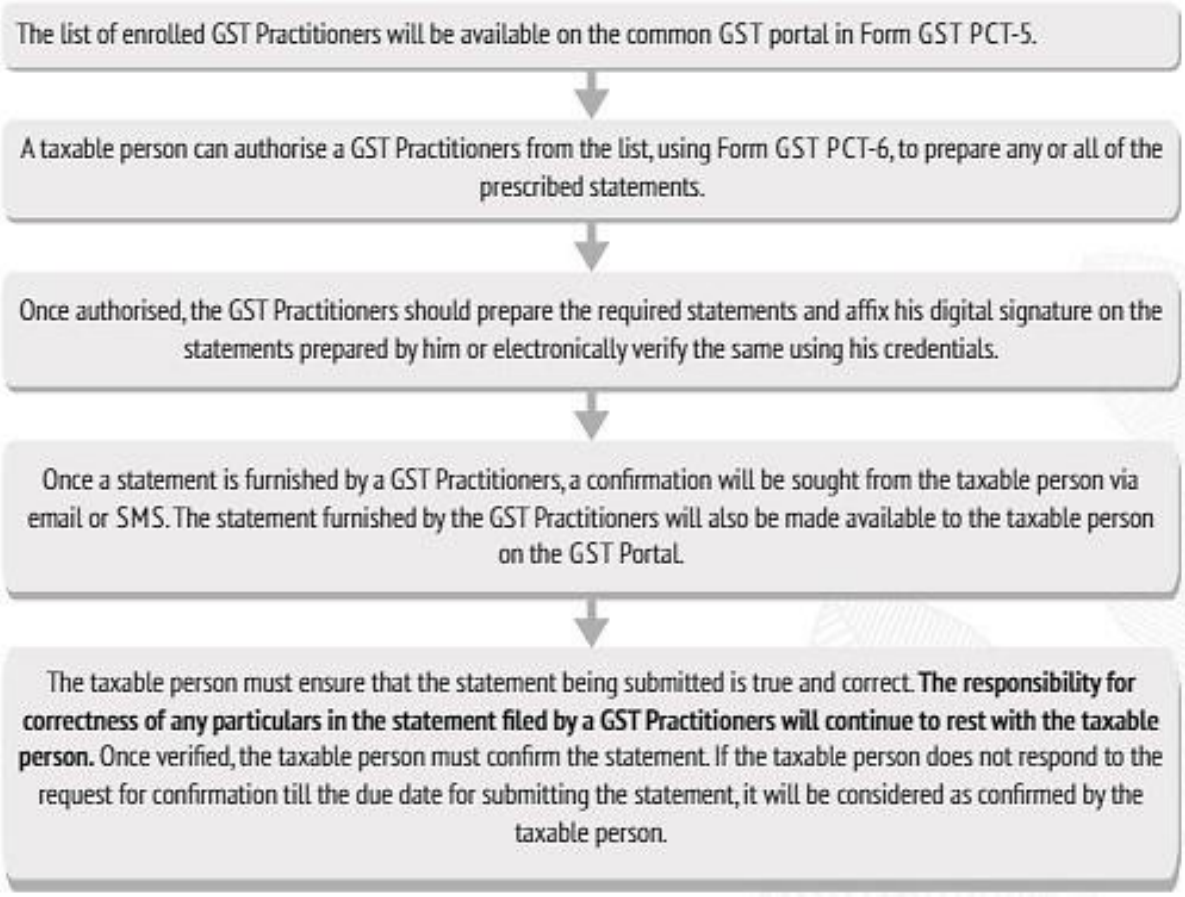
- final examination of the Institute of Chartered Accountants of India OR
- final examination of the Institute of Cost Accountants of India OR
- final examination of the Institute of Company Secretaries of India

23.2. FORMS PERTAINING TO A GST PRACTITIONER

Date	Form
Form GST PCT-1	Application for enrolment as a GST Practitioner
Form GST PCT-2	Certificate of enrolment as a GST Practitioner, issued by an authorised officer
Form GST PCT-3	Notice seeking additional information on application for enrolment or show cause notice issued to GST Practitioner for misconduct
Form GST PCT-4	Order of rejection of application for enrolment or disqualification of a GST Practitioner found guilty of misconduct
Form GST PCT-5	List of enrolled GST Practitioner maintained on the Common portal
Form GST PCT-6	Authorisation of a GST Practitioner by a taxable person on the Common Portal
Form GST PCT-7	Withdrawal of authorisation of a GST Practitioner by a taxable person

23.3. FILING OF RETURNS BY A GST PRACTITIONER

A taxable person can authorize a GST Practitioner to file his/her returns. Once authorized, the Tax GST Practitioner prepares and furnishes the statement, which has to be confirmed by the taxable person. The process for this is shown below-

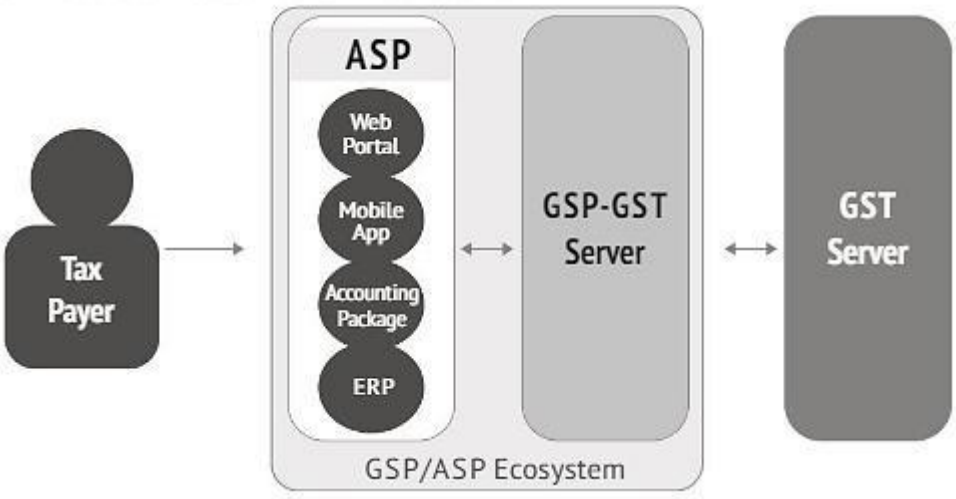


At any time, a taxable person can withdraw the authorization given to a GST Practitioner using Form GST PCT -7

GSTN AND GSP

GST Network (GSTN), a Non-profit- Non-Government company appointed by State and Central government to provide shared IT infrastructure and services to the Centre and State Governments and tax payers'.

While GSTN, is going to have a portal for taxpayers to interact, it also provides flexibility for taxpayers to file the return via their choice of third party application through desktop, mobile and Software. This will be extended by GST Suvidha Providers (GSP). Thus, there will be two set of interactions, one between the Tax payers 'application and the GSP and the other between the GSP and the GSTN



Interface between Tax payers and GSTN ecosystem

The GSTN is expected provide the following service:

- Registration related services including enrolment and transition of existing tax payers
- Challan Generation
- Run the matching engine for matching, reversal and reclaiming input tax credit
- Provide various MIS reports to the Central and the State Governments based on the taxpayer return information
- Maintain the e-ledger (Electronic liability register, Electronic cash ledger and Electronic credit ledger) of all the tax payers
- Matching of tax payment details with banking network

GSP is expected to provide the following services:

- Uploading Form GSTR-1 containing invoice wise details
- Download data on inward supplies (receipts or purchase) in Form GSTR-2A from GST Portal, generated based on Form GSTR-1 filed by corresponding suppliers.
- Communication of Input tax credit, acceptance and discrepancies post matching of invoices

AUDIT

Apart from filing of Form GSTR-9B, applicable for business with turnover exceeding 2 crore to file the audited annual accounts and a reconciliation statement, duly certified by a practicing CA, ICWA or a Cost accountant, the department conducts the audit at the taxpayer's place of business with a prior intimation to the tax payer. This usually conducted to close the gap between the tax declared by tax payer and the tax suspected by the department.

Under GST, audit means examination of records, returns and other documents maintained or furnished by the taxable person as per GST act or rules or any other law for the time being in force to verify the correctness of the turnover declared, taxes paid, refund claimed and input tax credit availed, and to assess his compliance with the provisions of this Act or rules.

25.1. PROCEDURE DURING DEPARTMENT AUDIT

- The tax authorities may conduct audit at the place of business of the taxable person and/or in their office.
- The taxable person shall be informed, by way of a notice, sufficiently in advance, not less than 15 working days, and prior to the conduct of audit.
- The audit shall be carried out in a transparent manner and completed within a period of 3 months from the date of commencement of audit
- If the Commissioner is satisfied that audit in respect of such taxable person cannot be completed within 3 months from the date of commencement of audit, he may, for the reasons to be recorded in writing, extend the period by a further period not exceeding 6 months
- Date of Commencement of audit means the date on which the records and other documents, called for by the tax authorities, are made available by the taxable person or the actual institution of audit at the place of business, whichever is later
- During the course of audit, the authorized officer may require the taxable person :– ○ To afford him the necessary facility to verify the books of account or other documents as he may require and which may be available at such place¦
  - ○ To furnish such information as he may require and render assistance for timely completion of the audit.
- On conclusion of audit, the proper officer shall, within thirty days, inform the taxable person, whose records are audited, of the findings, the taxable person's rights and obligations and the reasons for the findings.
- If the audit results in detection of tax not paid or short paid or erroneously refunded, or input tax credit wrongly availed or utilised, the authorized officer may initiate action for recovery.

25.2. PROCEDURE DURING DEPARTMENT AUDIT

At any stage of the enquiry or other proceedings, the officer (not below the rank of Deputy/Assistant commissioner) can direct for a special audit if:

- value has not been correctly declared, orŸ
- credit availed is not within the normal limits,

The audit will be conducted with the prior approval of the commissioner.

Under special audit, the taxable person should get is records including books of account examined and audited by a chartered accountant or a cost accountant as nominated by the Commissioner.

The chartered accountant or cost accountant so nominated shall, within the period of 90 days, submit a report of such audit duly signed and certified by him to the said Deputy/Assistant Commissioner mentioning therein such details as specified.

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DEMANDS AND RECOVERY

If an assesse fails to pay any sum imposed by way of interest, fine, penalty, or any other sum payable, the officer is empowered to initiate the recovery actions.

There are various events leading to discrepancies like nonpayment of tax, shortfall of tax paid, input credit wrongly utilized etc. Under GST law, demand and recovery list downs the scenarios on which the recovery can be done by officer.

The following are a few scenarios:

- Determination of tax not paid or short paid or erroneously refunded or input tax credit wrongly availed or utilized for any reason other than or by fraud or any willful misstatement or suppression of facts.
- Tax collected but not deposited with the Central or a State Government.
- Tax wrongfully collected and deposited with the Central or a State Government:
  - Central Tax /State Tax: A taxable person who has paid Central Tax /State Tax on a transaction considered by him to be an intra-state supply, but which is subsequently held to be an inter-state supply shall be granted refund of the amount of Central Tax /State Tax
  - Integrated Tax: A taxable person who has paid Integrated Tax on a transaction considered by him to be an inter-state supply, but which is subsequently held to be an intra-state supply, shall not be required to pay any interest on the amount of Central Tax /State Tax payable

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APPEALS AND REVISION

Under GST, appeal against the order of an adjudicating authority can be filed to prescribed appellate authority in the following hierarchy for the remedy.

Hierarchy of appellate authority
Appeal to the First Appellate Authority
Appeal to the Appellate Tribunal
Appeal to the High Court
Appeal to Supreme Court

As mentioned in the table, the highest authority is Supreme Court and the lowest in the hierarchy is First Appellate Authority.

27.1 PROCEDURE RELATING TO APPEALS AND REVISION

Particulars	Appeal to First Appellate Authority	Appeal to Appellate Tribunal	Appeal to the High Court	Appeal to Supreme Court
Time period for filing of Appeal; **By Aggrieved Party**	3 months from the date on which the said decision or order is communicated	3 months from the date communication of the order by First Appellate Authority or revisional authority	180 days from the date of receiving of order passed by the appellate tribunal.	An appeal shall lie to the Supreme Court from any judgment or order passed by the High Court , on its own motion or on an oral application made by or on behalf of the party aggrieved, immediately after passing of the judgment or order, the High Court certifies to be a fit
By GST Officer	6months from the date on which decision or order is communicated	6 months from the date communication of the order by First Appellate Authority or revisional authority		

LIABILITY TO PAY

Under GST, on supply of goods and services, GST is levied. Broadly the liability to pay taxes rests upon the supplier and in case of reverse charge, the recipient will be liable to pay tax. However, there are certain business situation or scenarios as specified in the law, the liability to pay tax or any other tax differs. Few scenarios are listed below:

Scenarios	Details	Liability to Pay
Liability in case of transfer of business	Transfers his business in whole or in part, by way of sale, gift, lease, leave and license, hire or in any other manner	The taxable person and the person to whom the business is so transferred shall jointly and individually be liable wholly or to the extent of such transfer, to pay the tax, interest or any penalty due from the taxable person up to the time of such transfer
Liability of agent and principal	Agent undertakes to supply or receives any taxable goods on behalf of his principal	Agent and his principal shall be jointly and severally liable to pay the tax payable on such goods
Liability in case of amalgamation/ merger of companies	Two or more companies are amalgamated or merged by the order of court or of Tribunal or of the Central Government and the order is to take effect from a date earlier to the date of the order.	The supply or receipt any goods and/or services to or from each other companies during the period (from date of effect till order date) will be included in the turnover of supply or receipt of the respective companies and shall be liable to tax accordingly
Liability in case of company in liquidation	Any company is being wound up whether under the orders of a court or Tribunal or otherwise,	During wound up, any tax, interest or penalty determined under this Act on the company, every person who was a director of such company at any time during the period for which the tax was due, shall jointly and severally be liable for the payment of such tax, interest or penalty, unless he proves to the satisfaction of the Commissioner that such non recovery is not attributed to any gross neglect, misfeasance or breach of duty on his part in relation to the affairs of the company
Liability of directors of Private company	In case any tax, interest or penalty due from a private company in respect of any supply of goods or services or both for any period cannot be recovered	Every person who was a director of the private company during such period shall, jointly and severally, be liable for the payment of such tax or penalty